

Article | 18 June 2026

What the US-Iran Memorandum of Understanding means for macro and markets

The US and Iran have signed a preliminary MoU outlining a ceasefire, some economic concessions and the reopening of the Strait of Hormuz, triggering market relief but marking only the start of negotiations rather than a final deal



US President Donald Trump and Iranian President Masoud Pezeshkian have signed a peace deal

Now it's official. Last night, US President Donald Trump signed the Memorandum of Understanding (MoU) between the US and Iran in Versailles. According to news reports, Iranian President Masoud Pezeshkian also signed the document on Wednesday.

The MoU between the US and Iran outlines the terms of their ceasefire, the reopening of the Strait of Hormuz, some financial relief for Iran, and Tehran's renewed pledge to never produce a nuclear weapon. Under the draft agreement, the US will allow Iran to sell its oil and petrochemical products, and Tehran may be able to tap into a US\$300bn development fund if it meets commitments related to its nuclear programme in further negotiations. The document does not include specifics on what will become of Iran's highly enriched uranium. With the signing of the MoU, a 60-day (though extendable) negotiation period starts, in order to flesh out further details.

The relief in financial markets after the initial Sunday evening announcement was palpable – relief that a three-and-a-half-month war could be nearing its end. We will leave it to the real geopolitical analysts to decide whether the world has become a better place under the new deal compared with the situation in February. For now, it appears the MoU may have softened some of the red lines set by the US in the early stages of the conflict. What is clear, however, is the fact that the MoU is not yet a deal but rather the start of negotiations and the agreement to open the Strait of Hormuz during these negotiations. Whether these negotiations will eventually succeed is a different matter.

On a different note, and at least for a short while, recent developments have brought the US and the rest of the G7 closer together. This week's G7 meeting must have been one of the more harmonious meetings in recent times. But before getting overly enthusiastic about a new spring of multilateral relations, that harmony may simply reflect pragmatism: the US government needs some backing from Europe for the negotiations with Iran, and Europeans need some US backing for potential negotiations with Russia.

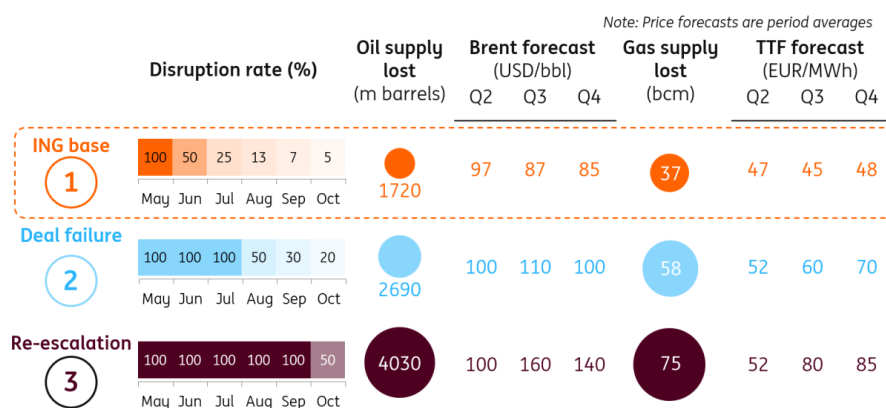
So, the relief in financial markets should not be mistaken for a complete dissolution of geopolitical risks but rather as a reaction to the reopening of the Strait of Hormuz. Oil prices have dropped already, taking away some recent inflation fears. In our view, however, markets may be slightly [too optimistic regarding the speed of the reopening](#). Mines will have to be discovered and removed, insurance premiums will have to be determined and vessels will actually have to be loaded and start passing through the Strait again. This will be a very gradual process. It should take several months before traffic in the Strait will be back to pre-war levels.

With relief in oil markets, the recent wave of inflation will not stop abruptly, but it will be shorter-lived than assumed just a few weeks ago. For central banks, it could bring back the infamous word 'transitory', giving central bankers even more of a headache in terms of whether to hike interest rates or not.

Even though we [released our last Monthly Update](#) a week ago, the latest developments clearly call for an update of our forecasts. This is why we have developed new oil price scenarios based on those updated macro and market forecasts. The bottom line is that inflationary pressures will be slightly shorter-lived, the adverse impact of higher energy prices on growth will be more limited and central bankers will be more reluctant to hike aggressively, or to hike at all. Except, perhaps, for the European Central Bank, which has pushed itself into a corner, making it harder to wriggle out of a second rate hike. Some ECB officials might already regret the timing of the ECB's meeting calendar....

If the MoU really is the start of successful negotiations, we could eventually return to a macro world that we had actually expected at the start of this year: a gradually recovering global economy with risks of inflation undershooting and central bank rate cuts. An almost beautifully boring economic outlook, or is that wishful thinking?

Our new energy scenarios



Source: ING

Our new oil price scenarios

Base case: This is it – we have a deal!

A 60-day ceasefire is signed and both sides work towards a more permanent deal. This is difficult to reach given the sticking points. However, the US and Iran manage to agree a longer-term deal, even if it doesn't fully address all the issues. As a result, blockades are lifted, allowing tankers to leave the Persian Gulf, although it will take time to remove mines from the water. The signing of the deal, however, gives shippers confidence to send vessels into the Persian Gulf, allowing for a quick recovery in flows through the Strait of Hormuz.

A willingness for shippers to return to the Persian Gulf allows upstream production to return at a quicker pace. An easing in some Iranian sanctions means that Iranian exports bounce back, with exports eventually above pre-war levels.

Scenario 2: 60-day negotiations get stuck

This scenario is essentially aligned with our previous base case. After the signing of the MoU, the negotiations get stuck, and we see some minor re-escalation as a result. Energy flows remain heavily constrained until the end of July. The market reaches an inflection point around this period, where prices spike higher due to increasingly tight stocks. These higher prices lead to renewed efforts to come to a deal which sees Strait of Hormuz oil flows resuming.

Scenario 3: Re-escalation

The 60-day negotiations break off at some point, followed by significant re-escalation between the US and Iran. Strait of Hormuz flows remain heavily constrained due to attacks/strikes resurfacing. Iranian proxies get more involved. The Houthis disrupt Saudi Red Sea oil exports while the UAE's Fujairah is targeted, along with regional energy infrastructure.

Essentially, this heavily disrupts flows until at least year-end, with peak disruption over 3Q, a seasonally stronger period of demand. Prices need to spike higher to ensure adequate demand destruction to rebalance the oil market.

Our calls for central banks

Federal Reserve: Despite a more hawkish Fed, we continue to think a prolonged pause is more likely than a rate hike. Our base case has inflation coming down to 3.6% in the fourth quarter and close to the 2% target by next summer. That's on account of subdued wages, falling energy prices, fading tariff impacts and slowing housing inflation.

European Central Bank: After last week's decision, we still expect a second rate hike this summer, even with the fall in energy prices. Yet inflation is now set to peak lower and is likely to fall towards 3% in 4Q in our base case. Once it becomes clearer that there's minimal sign of second-round effects, and in the absence of a pick-up in growth, we look for a single rate cut in mid-2026 to unwind some of the "insurance" provided by this summer's tightening.

Bank of England: The Iran deal has made the BoE's life easier and a prolonged pause now looks likely. Inflation is set to peak around 3.5% and officials, on balance, seem to be more confident that second-round effects will be minimal. We agree and see a return to rate cuts in 2027.

Our new scenarios

	18 June	① ING Base				② Deal failure				③ Re-escalation			
		Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027	Q2	Q3	Q4	Q4 2027
Brent Crude (USD/bbl)	78	97	87	85	72	100	110	100	77	100	160	140	90
Dutch TTF gas (EUR/MWh)	41	47	45	48	32	52	60	70	43	52	80	85	55
US Inflation (YoY%)	4.2%	3.9	3.5	3.6	2.2	3.9	4.4	4.3	1.6	4.1	6.0	6.8	0.4
Eurozone Inflation (YoY%)	3.2%	3.2	3.3	3.0	1.9	3.2	3.9	3.8	1.8	3.3	5.8	5.9	1.8
ECB Deposit Rate (%)	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.50	2.25	2.25	2.50	2.75	2.50
Fed Funds Rate (%)	3.75	3.75	3.75	3.75	3.25	3.75	3.75	3.75	3.25	3.75	4.00	4.50	2.50
2Y EUR swap rate (%)	2.82	2.80	2.80	2.70	2.55	2.90	2.90	2.75	2.55	3.00	3.10	3.20	2.30
10Y EUR swap rate (%)	2.99	3.00	3.00	2.95	3.05	3.15	3.15	3.10	3.05	3.20	3.25	3.30	2.80
2Y USD swap rate (%)	4.05	3.90	3.90	3.85	3.25	4.00	3.95	3.85	3.25	4.20	4.25	4.30	2.50
10Y USD swap rate (%)	4.05	4.00	4.00	3.95	3.95	4.10	4.10	4.10	3.95	4.15	4.20	4.25	3.50
EUR/USD	1.1470	1.15	1.17	1.18	1.22	1.14	1.15	1.15	1.20	1.12	1.07	1.09	1.18

Source: ING

Rates: Balance of risks tilted towards higher rates in the near term

Well before this deal, US breakeven inflation rates had been falling. They are now back to where they were before the war started, which is quite remarkable (US 10yr breakeven at under 2.3%; a perfect score). US real yields are structurally higher by some 40bp since before the war, which, again, is quite remarkable. We doubt they collapse lower, which is why the 10yr yield will remain elevated. The 10yr yield is holding in the 4.45% area, where it has tended to hover in recent weeks. The 10yr real yield is just above 2%, which is broadly a neutral valuation, one that we saw before the GFC / pandemic-impacted years. Barring a recession, it can hold here.

In the eurozone, the 10yr rate (take your pick of the German 10yr or Euribor) has dipped decisively below 3% as the agreement has crystallised. The big driver here is the fall in breakeven inflation, which is now down to 2% in the 10yr. It was previously at 2.4%. The juxtaposition here is between this and printed inflation in the 3% area (and still on the rise). Our gut feeling is that the 3% area is a logical staging post for the 10yr Euribor rate, while for the 10yr Bund yield, it's a range between 2.75% and 3% for the foreseeable.

Oil continues to be an important driver for rates, which means we can still expect more volatility going forward. Having said that, markets have turned more hawkish on central bank expectations, which limits the downside if oil were to drift lower. For the ECB, we identify support of at least one more 25bp hike which markets seem reluctant to break. Markets are taking the view that the damage has been done in terms of inflation and the ECB does not seem to give any pushback to this notion.

In effect, that means EUR 2Y rates will likely stay around current levels for longer or move higher if oil were to tick up again. Only later this year, when we get confirmation of benign second-round inflation effects, do we see more scope for 2Y rates to come down.

In a re-escalation scenario, we continue to see significant upside risk for rates in the near term, but the endgame should bring rates lower. A surge in oil prices and geopolitical uncertainty would weigh on growth, forcing both the ECB and Fed into a more extended easing cycle. Therefore, once the initial inflation shock eases around mid 2027, we see rates coming down sharply across the curve on the back of recession risks.

FX: Softer energy profile should limit euro downside

Our adjustment lower in baseline energy prices means we are modestly raising our EUR/USD profile. We now see it ending the year near 1.18. Of course, that runs against the current dominant narrative in FX markets, which is a more hawkish Fed. Our preferred scenario now sees EUR/USD pressured over the next couple of months near 1.14/15, but turning higher into year-end on our call that US data will not support Fed rate hikes.

Currently, we are not looking for a sustained break below 1.14/15 because we doubt the market will price in more than 50bp of Fed tightening during what, after all, should be an adjustment in policy settings and not an outright tightening cycle.

The alternative scenarios, with higher energy prices, remain more bearish for EUR/USD. Those lower levels look even more likely in an energy shock, now that we know the Fed is closer to tightening policy.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

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THINK economic and financial analysis

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FX CHINA INDIA

What the US-Iran peace deal means for Asia

The peace deal and partial resumption of oil flows reduce near-term inflation risks, giving some central banks (notably Taiwan and India) room to delay tightening. However, a broad pivot remains premature, as still-elevated oil prices, rising food price risks, and second round effects keep the policy stance asymmetric and biased towards caution



Supply relief and sentiment boost

The US-Iran peace deal should come as a significant relief for Asia, given its heavy reliance on imported energy and vulnerability to disruptions in Middle East shipping routes. As details firm up, [our base case](#) assumes around 50% of oil flows through the Strait of Hormuz resume by end-June, with full reopening only by end-2026. Even a partial restoration of flows should meaningfully ease tightness in physical markets and reduce precautionary inventory hoarding. This, in turn, is likely to support a rebound in consumer and business sentiment, particularly in countries where recent supply uncertainties had begun to weigh on confidence and activity.

Disinflation across Asia, with South-East Asia likely to lead the way

Lower oil prices will also be crucial in easing inflation pressures across Asia, particularly

through food and fuel channels. The Philippines has seen the sharpest rise in the contribution of food and fuel to inflation and should therefore be among the biggest beneficiaries of any sustained decline in oil prices. Meanwhile, economies with high import intensity, such as India and Thailand, are also likely to see meaningful relief as lower energy costs feed through into transport, food distribution and broader price dynamics.

Relief coming, but normalisation will lag as input costs are still elevated

Sectors such as petrochemicals, steel and rubber have borne the brunt of this margin compression, driven by elevated oil prices alongside higher freight and feedstock costs. A de-escalation in US–Iran tensions should bring some relief, particularly via lower energy and naphtha prices, helping to stabilise cost structures. However, the recovery will not be immediate. Supply chains – especially in fertilisers and other commodities, are likely to normalise only gradually, as shipment backlogs and logistical bottlenecks take time to unwind, even as traffic through the Strait of Hormuz improves.

While large economies such as India, China, Korea and Japan were partly insulated from global oil price spikes via subsidies and administrative controls, supply disruptions still pushed up input costs across manufacturing supply chains. Industries faced higher freight charges, longer delivery times and rising feedstock costs during the peak of tensions. Although input cost pressures have eased from their March–April highs, they remain above pre-conflict levels. With output prices adjusting more slowly due to weak pricing power and incomplete pass-through, corporate margins – especially in energy-intensive sectors – continue to face sustained pressure.

Rate pivot still premature, though some central banks can delay hikes

Despite the peace deal, it remains premature to call a turning point in Asia's rate hike cycle. Central banks across the region operate with different policy reaction functions: [the Philippines](#), for instance, focuses heavily on CPI inflation, as seen in its recent policy responses, while [Bank Indonesia](#) places greater emphasis on currency stability as its primary objective.

Even with some easing in energy-driven inflation, policymakers are likely to remain cautious.

First, oil flows are expected to resume only gradually, and the need to rebuild depleted stockpiles could keep upward pressure on demand, leaving uncertainty around the durability of any price correction. We expect Brent to average around USD 87/bbl in 3Q, still roughly 30% above pre-war levels. This could give some room for governments such as the Philippines, which did not heavily subsidise fuel, to roll back part of the earlier hikes. Gasoline prices in the Philippines have risen by around 40% since the start of the conflict; a 10% rollback could lower

CPI by about 50bp, bringing our 3Q inflation forecast to 6.5% – still well above the 4% upper target. As such, a more sustained and deeper decline in oil prices would be needed for the Bangko Sentral ng Pilipinas to reconsider the 75bp of additional rate hikes we have pencilled in for the rest of 2026.

Second, food prices remain vulnerable to weather-related shocks, particularly the rising probability of a strong El Niño—which could keep overall inflation volatile. Food-driven price pressures have already been broad-based: in the Philippines, the contribution of food to inflation has more than doubled, rising to 2.2pp in May 2026 from around 0.6pp earlier in the year.

India, Indonesia, and Thailand have also seen an uptick in food contributions to headline inflation, albeit more modestly at around 0.3–0.45pp. That said, still-moderate inflation levels in these economies and emerging downside risks to growth should give central banks some room to remain patient. For now, a wait-and-watch approach is likely, with policymakers closely monitoring how weather-related disruptions feed through to food and core inflation dynamics.

Improved growth prospects firm up the case for rate hikes in Korea and Japan

Despite heavy reliance on Middle Eastern energy, South Korea and Japan have so far limited the impact on growth and inflation through price caps, subsidies, fiscal support, and energy import diversification from non-Middle East countries. With the latest energy scenario, we see more upside risks for growth and a more limited impact on inflation.

Korea has temporarily restricted exports of petroleum products such as naphtha to secure domestic supply, while Japan released its strategic oil reserves to mitigate the shortage of energy supplies. A peace deal would boost 3Q26 growth slightly more than expected. Improving energy supply should support growth by easing pressure on key industries and lifting confidence. For example, it should allow Korea's petrochemical output and exports to rebound and Japan's auto exports to the Middle East to recover. Restocking energy and critical materials by companies and governments should lift imports as well. More broadly, the AI boom should continue to support both economies, with Korea and Japan benefiting from strong chip exports and potential longer-term gains from post-war reconstruction, renewable-energy investment, and higher defence spending.

Meanwhile, the impact on inflation from the peace deal is likely to be limited given that inflation in both countries (3.1% year-on-year in Korea and 1.4% YoY in Japan) has been suppressed by policy measures. These temporary anti-inflation measures will be lifted once global energy prices come down. Thus, the decline of energy prices in coming months is unlikely to be significant. Meanwhile, demand-side pressures are expected to strengthen on the back of strong asset-market rallies, rising labour income, and weak currencies. We expect

CPI to accelerate in the coming quarter, above 3.5% in Korea and 1.9% in Japan.

As stronger growth is likely to feed into inflation, we see an increasing probability that both central banks may accelerate their hiking cycles, moving faster and ultimately further than previously expected. The Bank of Korea may need an additional hike beyond our current 75bp base case, likely in 2027. For the Bank of Japan, its next move could come earlier in October rather than December if the yen weakness and firm underlying inflation persists.

Rate hikes in Taiwan could be delayed if peace deal holds

In Taiwan, we previously made upgrades to our GDP forecast despite the potential for an oil supply shock. Our 10.5% YoY 2026 GDP forecast is already among the highest in the market, and we will maintain this forecast for now. A peace deal removes some of the potential downside risk for growth. Given Taiwan's heavy energy import dependence and limited oil reserves, falling oil prices will have a bigger impact on inflation compared to our previous scenario. We revise down our CPI inflation forecast from 2.1% to 1.9% YoY. The previous scenario of oil prices peaking in 3Q prompted our call for the central bank to hike in 3Q26. We still have this rate hike pencilled in for now after a June hold from the central bank, with a few members already dissenting in favour of a rate hike and Governor Yang commenting that monetary policy should be "slightly hawkish". However, if we do get a lasting peace deal leading to lower energy prices and inflation proves to be under control, the rate hike could well be delayed again, potentially to as far as 2027.

Shifting oil price dynamics may also give India's central bank some room to delay or reconsider further tightening. Nevertheless, we continue to expect Korea and Japan to deliver anticipated rate hikes, with a rising probability of more and sooner. And a pivot away from rate hikes remains unlikely in the Philippines unless food inflation and FX pressures reverse materially. All things considered, monetary policy in Asia is still set to remain tighter for longer than markets anticipate.

Asian currencies stabilising but will need more for a turn

A third factor keeping Asian central banks hawkish is the performance of FX. Indonesia's rupiah, the Indian rupee and the Thai baht have fallen the most against the US dollar this year. These currencies will likely need more than just a softer dollar to stage a sustained recovery, especially in an environment where US inflation remains sticky and the Federal Reserve's recent hawkish pivot limits downside for the dollar.

For a more durable turnaround, stronger local drivers will be crucial. The Indian rupee and Thai baht have been hit by their high exposure to energy imports, with weaker external balances driving much of the depreciation. For this to reverse, a sustained improvement in the terms of trade – via lower oil prices – alongside a rebuilding of capital account positions will be key. Until then, FX vulnerability is likely to remain a constraint on how quickly regional central banks can

pivot away from tightening.

We see relatively more support for the Indian rupee, which still has policy levers at its disposal. Recent capital measures announced by the Reserve Bank of India should help plug the balance of payments gap, leaving us relatively constructive on INR. In contrast, investor concerns around Indonesia's recent policy direction may continue to weigh on sentiment, suggesting IDR could lag its regional peers.

In North Asia, both the KRW and JPY have weakened significantly, though easing geopolitical tensions and a narrower Fed-BoK/BoJ rate gap should provide some relief. For the KRW, USD/KRW is likely to remain above 1,500 in the near term despite Korea's exceptionally large trade surplus, as capital outflows remain sizeable. For the JPY, global dollar moves linked to Fed rate expectations should remain the dominant driver, while the BoJ's gradual hiking pace is unlikely to provide meaningful near-term support. As a result, USD/JPY is likely to stay near 160 for the foreseeable future.

The TWD has been tightly managed and range-bound during the Iran war. Given the backlash after last year's sudden spike, greater care may be taken to smooth out volatility in the TWD, which complicates forecasting. In a vacuum, a successful peace deal should contribute towards a stronger TWD.

CNY outperformance could fade if peace deal holds

Given China's general stability, we are not making substantive changes to the GDP growth forecast of 4.7% because of the peace deal, though the deal does improve the outlook at the margin, and avoids a potential downgrade that may have been necessary in the event of a prolonged supply shock.

Lower oil prices will take some momentum out of the recent reflation momentum. We slightly trim our CPI inflation target from 1.3% to 1.2% YoY. There is also a possible implication on policy support. While the Iran war did not necessarily preclude another rate cut, rising inflation and global central bank tightening may have complicated the equation.

A peace deal and lower oil prices should remove this uncertainty and allow for the People's Bank of China to ease in the second half of the year. Given the marked slowdown of domestic activity data in the second quarter, pressure could pick up to support growth.

The Chinese yuan has been the top performer against the US dollar during the Iran war. While we see it continuing to appreciate against the dollar, its relative outperformance is likely to fade if the peace deal holds, and the CNY trade-weighted basket could decline moving forward as other currencies recover.

Author

Deepali Bhargava

Regional Head of Research, Asia-Pacific

Deepali.Bhargava@ing.com

Lynn Song

Chief Economist, Greater China

lynn.song@ing.com

Min Joo Kang

Senior Economist, South Korea and Japan

min.joo.kang@ing.com

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FX TRADE CHINA

Still king – why the petrodollar isn't going anywhere soon

Recent tensions in the Middle East have revived debate about whether the petrodollar system is starting to fragment. Our answer is a cautious one. Some diversification in oil trade settlement is plausible, but the bigger question is where Gulf oil savings are ultimately invested. On both fronts, change looks gradual rather than transformative



Calling an “end of the petrodollar” would be a bold claim, with any shifts in the story likely to be slow-moving

Recent tensions in the Middle East have brought the petrodollar debate back into focus. The immediate market question is whether disruptions to energy trade could accelerate the use of non-dollar currencies in energy-related transactions. That matters because any such shift would add to the broader debate about the global role of the dollar.

Still, declaring “the end of the petrodollar” would be a strong call. As with other [de-dollarisation](#) themes we’ve covered, the reality seems to be less dramatic than the media headlines. We support the approach of looking separately at trade invoicing and asset allocation. On the trade side, China’s growing importance as a buyer of Gulf energy, the gradual build-out of renminbi payment infrastructure, and renewed interest in alternative payment channels are all relevant. But the international role of the dollar also depends on where the savings of major energy exporters are ultimately allocated.

That is the key question we address in this article; the broad conclusion is that some petro-

settlement and investment activity may become marginally more diversified, but the core of the petrodollar system still looks much harder to dislodge.

Executive summary

- **Shift in oil settlement: evidence inconclusive.** March 2026 saw a pick-up in renminbi settlement activity via China's Cross-Border Interbank Payment System (CIPS), coinciding with the outbreak of the Iran war, but volumes moved closer to normal in April and May. SWIFT trade finance data also shows only a modest March spike after an earlier upward trend in 2022–2024. **China's growing role in the Gulf is a watch factor**, with its share in GCC exports and imports nearly doubling over the past decade to about 21%, alongside a build-up in non-dollar settlement infrastructure through the UAE-China swap agreement, mBridge cooperation and the UAE central bank's memorandum of understanding with CIPS.
- **The Gulf keeps accumulating oil savings, putting SWF allocation in focus.** Excluding Saudi Arabia, the GCC is projected to run combined current account surpluses of roughly \$150bn per year over the next five years, implying \$0.8tr in cumulative external savings through 2030. Gulf sovereign wealth funds hold around \$6tr in assets, with the UAE estimated at about \$2.7tr, leaving the key question of where these pools of oil wealth are ultimately invested. **GCC is USD-heavy by global standards**, with 69% of BIS-tracked international assets in US dollars versus 46% globally. This does not capture sovereign wealth funds directly, but it does suggest that Gulf external finance is more dollar-heavy than the global norm.
- **What might Gulf de-dollarisation look like?** From the invoicing angle, China's share in GCC trade points to an upper bound of about \$300bn in annual flows that could be yuan-settled in an extreme case. From the asset side, any de-dollarisation would more likely show up through slower new inflows rather than reallocation of the existing stock. Even a reduction in new USD allocations below roughly \$100bn per year would already represent a move in that direction.
- **GCC in the global context: central but not exclusive.** The Middle East accounts for around one-quarter of global fuel exports, while fuel trade makes up only 10–12% of global merchandise exports, limiting the impact on global de-dollarisation. **Broader de-dollarisation remains slow**, suggesting scope for gradual diversification rather than a decisive break with the dollar. [The euro](#) or RMB could use their strengths to create marginal competition with the dollar, but the dollar system still looks far more resilient than the louder de-dollarisation narratives imply.
- **Market implications:** Dollar dominance in GCC energy invoicing contributes to

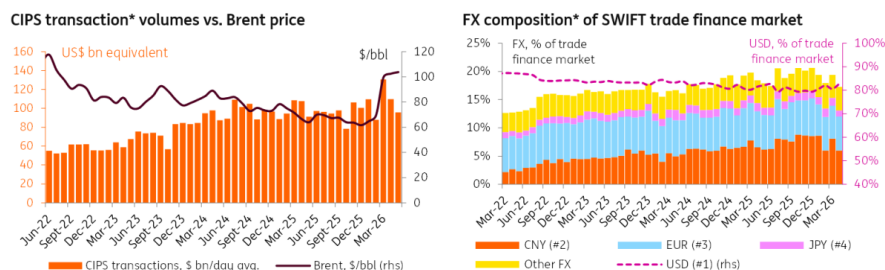
network benefits, while dollar funding markets proved resilient during the peak of the crisis in March.

Shift in oil settlement: evidence inconclusive

The new war in the Middle East has revived interest in whether the search for non-dollar energy invoicing could gain pace. Yet publicly available data remains limited, and the available evidence is mixed. The pick-up in renminbi settlement activity in March via CIPS has been cited by some observers, including [the European Central Bank](#), as an indirect sign of a shift in energy invoicing.

So far, however, the evidence remains inconclusive. After a spike in March, CIPS volumes returned closer to normal in April and May, despite the ongoing tensions in the region. SWIFT trade-finance data tells a similarly cautious story: renminbi usage had already been trending higher in 2022-2024, but the increase in March 2026 was relatively modest and was followed by some retrenchment in April.

The spike in CNY transactions in March appears to be a one-off so far



Source: ECB, CIPS, SWIFT, ING; * adjusted for FX revaluation effects

China's growing role for the Gulf is a watch factor

It is important to understand where the expectation of a growing renminbi role in Gulf fuel trade is coming from. Unlike Russia or Iran, GCC countries are not operating in a sanctions environment and remain broadly free to choose their settlement currency mix. The case for greater renminbi usage would therefore be mainly commercial.

The commercial logic starts with trade geography. China's share in GCC exports and imports has nearly doubled over the past decade to around 21%.

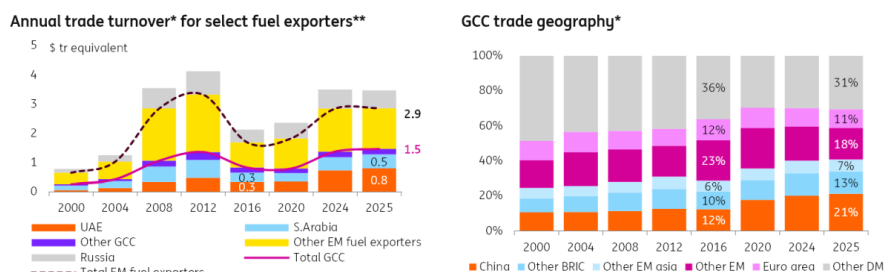
China's share in GCC exports and imports has nearly doubled

over the past decade to around 21%

Just as importantly, Gulf trade has become more tilted towards emerging markets, which now account for around 60% of the GCC's external trade mix – the reverse of the picture 25 years ago.

This matters for the global energy story because the GCC itself accounts for 51% of the total external trade turnover of all EM fuel exporters in the IMF's definition, which excludes Russia (as a more diversified commodity producer). It is also notable that within the GCC, the UAE has overtaken Saudi Arabia in terms of total external trade volumes in the last 10 years.

China's share in GCC trade flows nearly doubled in the last 10 years to 21%



Source: IMF, ING; * Sum of exports and imports, share of China includes Hong-Kong and Macao; ** Russia in not part of IMF EM Fuel Exporters aggregate

From the global trade and multipolar perspective, some energy transactions may gradually become less exclusively dollar-based as China deepens its trade links with major exporters and as alternative payment infrastructure develops. The [UAE-China swap agreement](#), [mBridge](#) cooperation and the UAE central bank's [MoU with CIPS](#) all point to a slow build-out of the relevant infrastructure.

As for China's RMB internationalisation, the process has seen ebbs and flows over the past two decades, but is gradually moving along, with increasing RMB trade settlement and payment shares over the years. As China's trade clout grows and it becomes the largest trading partner for more countries, a natural consequence has been a shift towards RMB-denominated settlement.

An important new development which emerged during the Iran war was when Iran requested payments to be made in Bitcoin or CNY. This is a sign that countries are considering CNY as an alternative to the traditional dollar system, an option which can help avoid US sanctions. Geopolitical developments have and could continue to play a role in the RMB's adoption globally.

Policymakers have been prioritising financial stability over speed of internationalisation, and

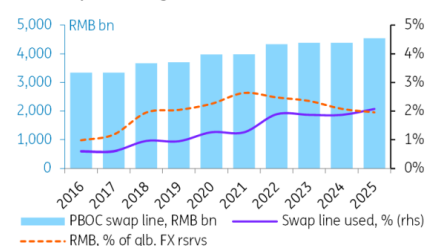
this is unlikely to change, even with a perceived window of opportunity from de-dollarisation trends. A lack of full capital convertibility continues to weigh on RMB internationalisation, while there appears to be relatively limited appetite for the RMB as a reserve currency.

Nonetheless, efforts continue to be made in this direction, as President Xi Jinping has stated that China must have a “powerful currency”. The People's Bank of China just announced a new repo facility to be made available to foreign central banks, international financial institutions, and sovereign wealth funds, accepting RMB-denominated collateral such as Chinese government bonds, central bank bills, and policy bank bonds. This would allow for foreign institutions to tap into the current low interest rates in China, and could encourage further RMB usage.

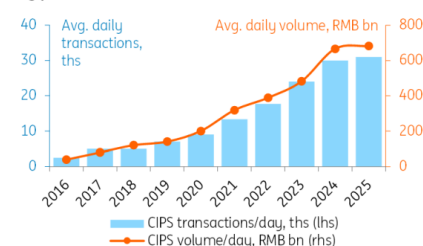
China currently has 32 currency swap lines set up, worth up to RMB4.5tr, and these swap lines have increasingly shifted from symbolic agreements to actively used liquidity tools. By the end of 2025, the outstanding balance of RMB drawn by overseas central banks stood at RMB94.2bn.

China continues building infrastructure for RMB internationalisation

PBOC swap lines, usage, and RMB's reserve role*



Key parameters of CIPS transactions



Source: PBOC, ECB, IMF, ING; * Pre-2025 shares of RMB in global FX reserves adjusted for FX revaluation

Overall, higher Gulf exposure to China is not a death sentence for the dollar as a petro-currency. The rising role of China in global trade does not automatically translate into a comparable rise in the role of the renminbi. And if Gulf economies continue to invest heavily in domestic fuel, logistics and defence infrastructure, imports are still likely to remain diversified across both developed and emerging market partners.

On the subject of swap lines, much was made earlier this year of the UAE's request for a standing dollar swap line to join the elite club of the eurozone, Japan, the UK, Switzerland and Canada. This story has gone quiet over recent months, but one can only conclude that the UAE still sees itself very much part of the dollar universe – anchored, of course, by the USD/AED peg.

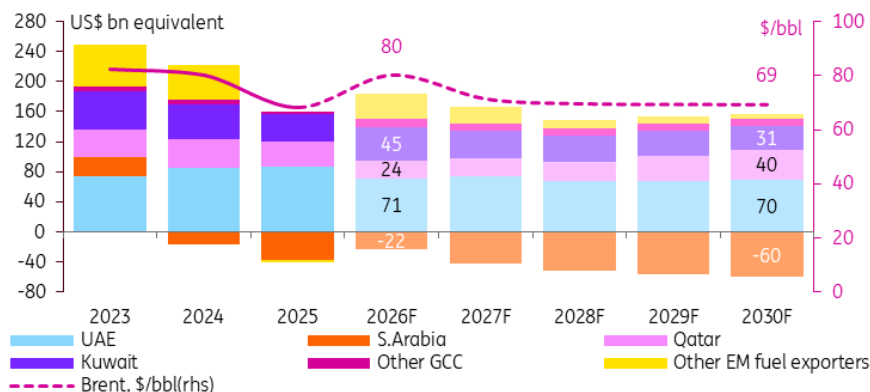
The Gulf keeps accumulating oil savings...

The more important question for the dollar story is not just how Gulf exports and imports are invoiced, but whether the region still generates external surpluses large enough to matter for global capital markets. Some have argued that rising domestic expenditure and imports mean the GCC no longer produces large enough current account surpluses to remain relevant as a capital exporter.

IMF projections imply a cumulative current account surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets

The [IMF projections](#) suggest otherwise. While Saudi Arabia alone is expected to remain closer to the current account deficit, the wider GCC still looks highly relevant as a source of external savings. Excluding Saudi Arabia, the GCC – mainly the UAE, Qatar and Kuwait – is projected to run a combined current account surplus of roughly \$150bn per year over the next five years even under an oil price assumption of \$70-80 per barrel. That implies a cumulative surplus of around \$0.8tr through 2030 that will need to be allocated by the GCC ex. Saudi Arabia into global assets.

Excluding Saudi Arabia, the GCC will have \$0.8tr of current account surplus to allocate through 2030



Source: IMF, ING; * Russia doesn't match the export concentration criteria for IMF's EM Fuel Exporters aggregate

Current account balance for GCC and other EM fuel exporters*

...putting the sovereign funds' asset allocation in focus

Persistent current account surpluses suggest that the region is likely to remain important not only for trade invoicing, but also for the currency mix of global financial assets. In the GCC,

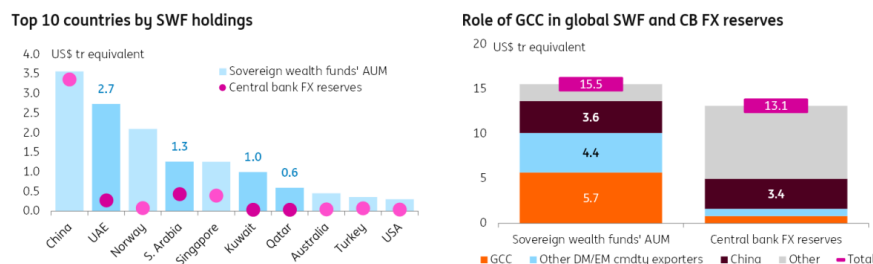
sovereign wealth funds are the key players. We have touched on this previously; in oil-producing economies, [sovereign funds](#) are often the dominant investors and can dwarf central bank reserve holdings.

Originally established to preserve and grow finite hydrocarbon wealth for future generations, Gulf sovereign wealth funds now hold combined assets under management of around \$6tr, which is over one third of the value of the [world's 100 largest sovereign funds](#).

Gulf sovereign wealth funds now hold combined assets under management of around \$6tr

Four of the six GCC countries are among the world's top 10 sovereign wealth fund holders, and the UAE hosts the largest combined SWF assets in the region with a combined value estimated at \$2.7tr. The GCC asset allocation choices matter for the future of the petrodollar no less than the currency of trade invoicing does.

The Gulf holds more than a third of world's sovereign wealth assets



Source: GlobalSWF, IMF, SWF Institute, media, national sources, ING

GCC is USD-heavy by global standards

So how dollarised is the GCC, and how much could that change? That is the trillion-dollar question, and the direct data is almost as scarce as it is for trade invoicing and settlement.

The GCC's influence is not especially visible in the IMF's [Currency Composition of Official Foreign Exchange Reserves \(COFER\)](#) data because the region's central bank reserves are relatively small compared with sovereign wealth funds, while sovereign funds are generally far less transparent than central banks about asset allocation. [US data on foreign holdings of Treasuries or broader US assets](#) is also of limited help, because they are heavily distorted by Europe's custodial role through financial centres such as the UK, the Benelux countries and Switzerland.

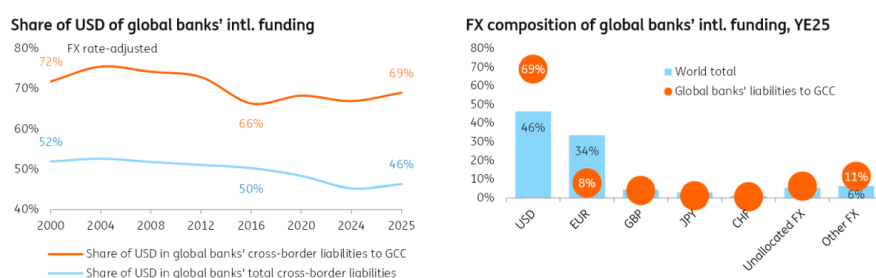
We therefore use an indirect proxy: the banking system's international balance sheet. BIS

locational banking statistics provide a [currency breakdown of global banks' liabilities to financial and non-financial sectors](#) in each reporting country. While this does not capture sovereign wealth funds directly, it still offers a useful window into the broader currency mix of external finance. By that metric, Gulf external finance remains much more dollar-heavy than the global norm. At the end of 2025, around \$0.6tr – or 69% of international assets linked to GCC financial and non-financial sectors – was denominated in US dollars, compared with a global aggregate of 46%.

Around 69% of international assets linked to GCC are denominated in US dollars, compared with a global aggregate of 46%

The GCC also appears underweight the euro, at roughly 8% versus a 34% global aggregate, while showing a somewhat higher preference for non-core currencies. Notably, the dollar share in the GCC's cross-border assets appears to have risen over the past decade, in contrast to the broader global trend.

GCC's external finance is highly dollarised by global standards

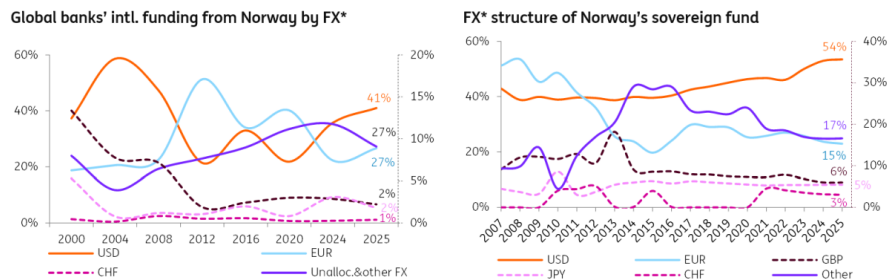


Source: BIS, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

It remains an open question as to how well BIS locational banking statistics proxy the currency composition of sovereign wealth funds, most of which are deliberately structured outside the domestic banking perimeter. Even so, there are reasons to take the signal seriously.

First, the dollar pegs in GCC countries naturally reinforce the dollar's role in both trade and capital flows. Second, Norway offers a useful cross-check because it publishes the currency composition of its sovereign wealth fund. There, BIS cross-border banking data does not replicate the sovereign fund allocations exactly, but it does capture the broad ranking of currencies relatively well; the US dollar is clearly dominant, followed by a group of non-core currencies and then the euro. That suggests the Gulf's above-average dollarisation in cross-border balance sheets is unlikely to be meaningless.

For Norway, BIS banking data is a good proxy for SWF FX structure



Source: BIS, NBIM GFPG, Refinitiv, ING; * Pre-2025 shares recalculated according to FX rates as of YE25

If the BIS GCC banking data broadly reflects sovereign wealth-fund preferences, this would imply that a very large stock of the Gulf's sovereign wealth is likely to be already allocated in dollar assets – at least \$4tr – alongside much smaller allocations to non-core currencies (\$0.6tr) and the euro (\$0.5tr).

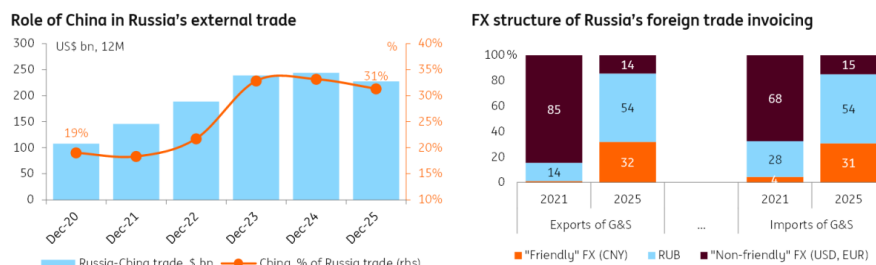
A very large stock of the Gulf's sovereign wealth – at least \$4tr – is likely to be currently allocated in dollar assets

What might Gulf de-dollarisation look like?

The next question is what the practical limits of Gulf de-dollarisation would be if the region were hypothetically to pursue it. This could be considered a stress test (not a forecast!) designed to illustrate the scale of any plausible change and the surrounding constraints.

Russia provides one extreme reference point. Since 2014, Russia's external trade and reserve mix has experienced a foreign policy-driven shift towards China and renminbi, and this process has accelerated rapidly since 2022 under the pressure of sanctions and reserve freezes. By 2025, the renminbi's share in Russia's external trade invoicing had risen to match China's 30-33% share in Russia's trade. In Russia's liquid sovereign savings, the renminbi also gained a dominant role because other reserve currency options had effectively been removed.

The yuanisation of Russia's foreign trade matches China's share in its exports and imports



Source: China customs, Bank of Russia, ING

The Gulf, however, is self-evidently not Russia. The geopolitical setting and scale are entirely different. A simple translation of Russia's experience into the GCC would therefore be misleading. At most, Russia offers a far-end reference for how far trade settlement can move when constraints are extreme, which, in the case of the GCC, would also match China's role in the region's external trade – currently around 20%. In an extreme case, up to \$300bn out of \$1.5tr in GCC's annual exports and imports turnover could be invoiced in RMB.

In an extreme case, up to \$300bn out of \$1.5tr in the GCC's annual exports and imports turnover could be invoiced in RMB

On the asset side, the constraints are even stronger. Existing GCC sovereign wealth fund assets are too large to be reallocated quickly. In practice, if de-dollarisation occurred at all, it would most likely show up through new allocations rather than through a large-scale restructuring of the existing stock.

With projected annual current account surpluses of roughly \$150bn, even a hypothetical reduction in new USD allocations below 70% of that sum, or \$100bn per year, would already represent a move toward de-dollarisation.

But that would still be very different from a rapid retreat from the dollar as the dominant store of Gulf wealth.

All of our discussion so far has centred on potential opportunities for the renminbi. Yet in [our previous research](#), we have been drawn to a multipolar currency world of dollars, euros, renminbi, and other non-core currencies. The prospect of GCC exporters notably shifting energy invoicing to euros looks limited, however. The euro area only comprises 11% of total GCC exports and imports, and there seems to be little appetite from Europe to challenge the role of the dollar in the oil sector. Europe has had some success with benchmark euro exchanges for gas and carbon. But oil is another market entirely.

Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance

That said, Europe can and will focus on creating an attractive environment for international investors. While progress on Europe's Savings and Investment Union has been slow, the euro-area bond market did enjoy an encouraging year in 2026. Euro-denominated debt financing jumped 30% last year to a record \$1.1tr, led by international debt issuance.

While the commercial benefits of Reverse Yankee issuance certainly played a role, Debt Capital Market teams certainly noted more international interest in euro-denominated debt.

Stablecoins are another payment means in focus. Evidence of their use in energy invoicing remains highly speculative at this early stage. But most conclude that any uptake in this space would only cement dollar-centricity, since most stablecoins are backed by USD assets. For example, Tether is now the 17th largest holder of Treasury securities globally.

GCC in the global context: central but not exclusive

The Gulf is central to the petrodollar debate, but it is still only part of the global energy story. Even if invoicing patterns were to shift more visibly within the GCC, the global impact would still depend on how large the Gulf remains in production, exports and surplus generation relative to the rest of the energy world.

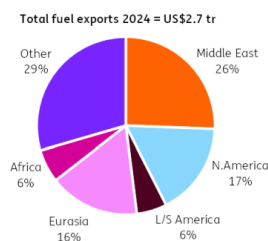
The Middle East accounts for around one-quarter of global fuel exports

The broader global energy system still includes large producers and exporters outside the Gulf, while the post-2022 energy shock has also increased the strategic role of the US as both an oil and LNG supplier. The entire Middle East now accounts for around one-quarter of global fuel exports.

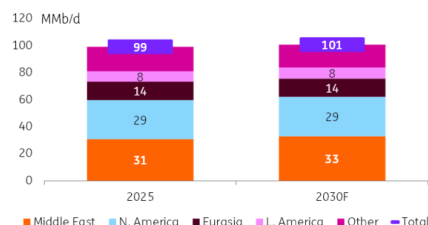
In that sense, the global energy map may have become more fragmented, but not necessarily less dollar-centred. According to the IEA's five-year projections, the more dollar-centric fuel production in the Americas is expected to retain its competitive global shares, especially in the oil segment, where North and Latin Americas combined are expected to retain c.38% combined share vs. 33% attributable to the Middle East.

Middle East accounts for around a quarter of global fuel exports, Americas will remain a strong competitor

Global fuel* exports by region



Oil production by region



Source: OEC, IEA, ING; * includes oil (48%), refined products (18%) and gas (18%)

That is why any credible petrocurrency argument needs to consider two things at once: first, whether the Gulf's own trade and savings become less dollar-based over time; and second, whether that shift is large enough to move the global aggregate in a material way.

Broader de-dollarisation: still slow

The petrocurrency debate is a valid part of the de-dollarisation story, with a potential focus on the UAE, which, following its [accession to BRICS+](#) and breakaway from OPEC, is targeting a material increase in global fuel supply. However, the evidence so far argues against rapid de-dollarisation in the global financial system. First, it's important to keep in mind that global fuel trade represents only around 10-12% of the global merchandise exports.

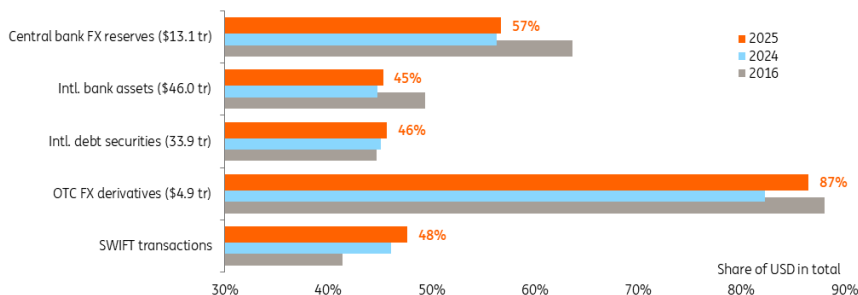
Global fuel trade represents only around 10-12% of the global merchandise exports

Second, the IMF finds that the [dollar remains dominant in global trade invoicing](#) and that there is no robust evidence of a broad move away from the dollar in oil exports. The ECB likewise shows that the [dollar and euro still account for more than 80% of global invoicing](#), while the renminbi remains small at the aggregate level.

This is important context for any potential shift in Gulf invoicing patterns. Even if some energy transactions become somewhat less exclusively dollar-based, that would not automatically translate into a comparable change in the global role of the dollar. The dollar's position is anchored in the international assets and liabilities of central banks and the private sector, as well as broader turnover of trade and financial flows.

The broader dollarisation metrics we track suggest that meaningful long-run diversification has been visible mainly on the asset side, and even their progress appears to have stalled in 2025. The lack of a large debt securities market outside USD and EUR segments is one of the obstacles for broader diversification.

Global de-dollarisation stalled in 2025, long-term trend seen on the asset side



Source: IMF, BIS, SWIFT, Refinitiv, ING; * pre-2025 shares recalculated according to FX rates as of YE25

Key indicators of USD's global role

This does not, however, mean that nothing is changing. More euro and renminbi settlement in parts of energy trade is plausible, and so is a world in which some Gulf savings are allocated somewhat less mechanically into dollar assets than in the past.

Market implications

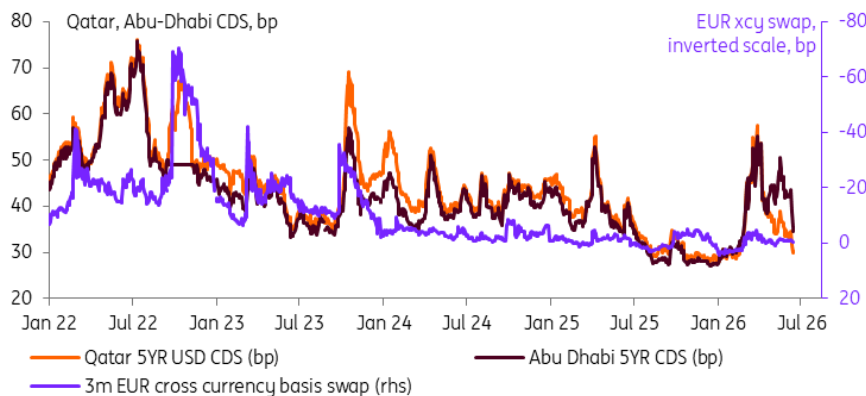
The network effects of having the dominant currency in international finance and invoicing are well publicised for the dollar. And a recent [ECB paper](#) calculated that of the 190bp 'convenience yield' earned by foreign investors in holding US Treasuries, 170bp was down to the attraction of the dollar. Clearly, GCC exporters continuing to earn and invest in dollars looks to be an important driver of the lower borrowing costs enjoyed by the US government.

Separately, during the crisis, we wondered whether developments in the Middle East were enough to impact global dollar funding conditions. For example, were GCC nations large enough international lenders of dollars – be that through wholesale funding or commercial paper markets – to see dollar borrowing conditions tighten?

In FX markets, stress in dollar liquidity normally emerges in the cross-currency basis swap market, where European lenders would be prepared to lend out euros through the swap market at below market rates ('the basis') in order to secure dollar funding.

Fortunately, events showed that during the peak of stress in March, the basis swap hardly budged at all, reflecting the resilience of dollar funding markets to a localised shock.

Dollar funding versus regional CDS



Source: Refinitiv, ING

The petrodollar story could be changing, but slowly. Recent tensions in the Middle East have revived interest in whether energy exporters and importers want more room to settle transactions outside the dollar, and some marginal diversification in that direction is plausible. China's rising role in Gulf trade and the gradual development of alternative payment infrastructure support that trend.

But this should not be confused with the rapid erosion of dollar dominance. The bigger issue is not only how energy is invoiced, but how surplus oil savings are stored. On that front, change also looks slow. The Gulf still generates large external surpluses, sovereign wealth funds remain central to recycling them, and the available balance-sheet evidence suggests that the region's external finance remains more dollar-heavy than the global average.

Our conclusion is that the euro and non-core FX, including the RMB, can create some competition for the dollar, both in settlement and in new allocations. But we do not see convincing evidence that de-dollarisation can be fast and easy. Based on broader global trends, the process looks gradual and faces structural constraints, leaving the dollar firmly at the centre of the global energy-finance system.

Author

Dmitry Dolgin

Chief Economist, CIS
dmitry.dolgin@ing.de

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Lynn Song

Chief Economist, Greater China
lynn.song@ing.com

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Article | 17 June 2026

FX RATES UNITED STATES

Hawkish shift opens the door to Fed rate hikes

A clear hawkish shift from the Fed sees the committee split down the middle on whether they will hike rates or not this year. Sharp energy price falls are good news though, and we think an extended pause is the most likely outcome



The Federal Reserve left interest rates unchanged in Kevin Warsh's first meeting as Fed Chair

Markets acknowledge the prospect of higher policy rates

The Federal Reserve has left monetary policy unchanged at Kevin Warsh's first meeting as Chair. It was a unanimous decision given that arch-dove Stephen Miran had made way for Warsh to join the Board of Governors, while the clear adjustment to the tone of the much cut-down press release was sufficient to bring the three hawkish dissenters from May onside. In a message to leave no doubt in investors' minds over the inflation fighting credibility of the central bank, the statement concluded: "the Committee will deliver price stability".

The even more obvious hawkish shift was seen in updated Fed forecasts. The new "dot plot", has 9 of 18 members pencilling in a rate hike versus zero in March, which shows the Fed has gone well beyond signalling "two-way risk" on interest rates, to a clearly more hawkish position.

One member is, in fact, predicting three 25bp hikes over the coming six months; five members

are going for two hikes and three are going for one hike. Eight expect no change with just one forecasting a rate cut this year. There are only 18 dots versus the usual 19. As broadly expected, Kevin Warsh decided not to enter a prediction having said in the past that the Fed's record was "abysmal" and that he saw little value in it. He added at the press conference, "I can't give you any guidance on what we're going to do next."

As such, the median is now for one hike this year, but then a cut next year with a further cut in 2028 before settling at a 3.0-3.25% range over the longer term.

Fed projections versus the previous expectations from March

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	2.2	2.3	2.2	2.0
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	4.3	4.3	4.2	4.2
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	3.3	2.5	2.1	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	3.8	3.6	3.4	3.1
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

The table above shows the Federal Reserve's updated median forecasts versus what they were saying in March. They are a little more upbeat on GDP growth for fourth quarter 2026 than the consensus (2.2% versus 2%), but more worried about inflation than the consensus (core PCE deflator at 3.3% versus the 3.1% consensus).

Kevin Warsh, appointed by a President demanding rate cuts, may well face some criticism after this. Nonetheless, his emphasis on needing to prevent second-round price effects will help to keep the long end of the yield curve anchored. This is, in fact, more important for the President's growth strategy by keeping a lid on mortgage and corporate borrowing costs while also limiting the upside for government interest costs.

An extended pause from the Fed remains our call

Markets are now pricing 32bp of rate hikes this year, with a cumulative 42bp by this time next year, versus 19bp and 33bp respectively ahead of the release. Nonetheless, we look for an extended pause of perhaps 12 months.

With a deal set to be signed imminently to reopen the Strait of Hormuz, energy prices have fallen sharply. \$76/bbl WTI oil is consistent with gasoline prices falling to \$3.75/gallon after having peaked at \$4.60. That should help lead to an outright month-on-month % drop in headline prices for June. It will also relieve pressure on airline fares and freight rates within the inflation data, while also easing the squeeze on household spending power.

While recent jobs numbers have been firmer, consumer confidence is rock bottom in an environment where real household disposable incomes are languishing. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth and a waning influence from tariffs should, we believe, gradually ease the concerns of the Fed.

The Treasury curve shifts higher and flatter, but the curve structure remains benign

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward, given the change in tone from the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

Dollar enjoys commitment to price stability

After this week's large fall in energy prices, FX markets probably went into today's FOMC meeting with a neutral bias. In the end, the outcome was clearly hawkish with a slimmed-down statement refocusing on price stability, a rate hike in the dot plot and a few references to the Fed having missed its inflation target for five years running.

The dollar took its cue from the 10bp bearish flattening in the US yield curve and rallied around 0.5% on the news that the Fed is prepped to tighten. Also welcome for the dollar is the read-out for US asset markets, where stability at the long end of the bond market and equities

reversing intra-day losses suggest buy-side investors appreciate the renewed commitment to price stability.

That commitment also serves to deflate interest in the dollar de-basement trade, which last year had seen gold, bitcoin and the likes of the Swiss franc rallying on the view that a captured Fed could go soft on inflation. That looks far less likely after today's FOMC meeting. Gold is off 2.5% on the news and USD/CHF up around 0.7%. These trends can extend.

A hawkish Fed can keep EUR/USD pressing 1.1500 this summer, with the risk of a temporary break lower should any US activity or price data briefly push market expectations towards 50bp of tightening this year. Japanese authorities must now be bracing for higher levels in USD/JPY – perhaps into the 162/163 area – before another round of intervention is due. But the already slim chance of effective dollar selling intervention just got slimmer.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

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Article | 16 June 2026

HEALTHCARE

How technology could cut millions of hospital visits across Europe

Remote care offers European hospitals a rare combination: fewer avoidable visits, better care and more capacity in a tight labour market. As staff shortages intensify and demand keeps growing, the technology is becoming a critical solution to mounting pressures



Remote monitoring is gaining ground as technology improves, with devices that measure weight, heart rhythm, blood pressure, blood glucose levels and more

Remote healthcare: at a glance

- Amid severe staff shortages in the healthcare sector across Europe, remote care can ease the pressure on hospitals.
- Remote monitoring is gaining ground as technology improves, with devices and wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation and lung function.
- Evidence shows that remote patient monitoring has more benefits than drawbacks: improved patient mobility, lower hospital admissions and shorter hospital stays.
- We estimate that roughly 50% of hospital care is suitable for hybrid care using

some form of remote patient monitoring.

- That means millions of hospital visits could be avoided across the EU with the adoption of remote healthcare.
- But broad scale-up in Europe is slow, and the four largest EU countries are falling short.
- Policymakers can accelerate scale-up through three levers.

Healthcare providers under pressure

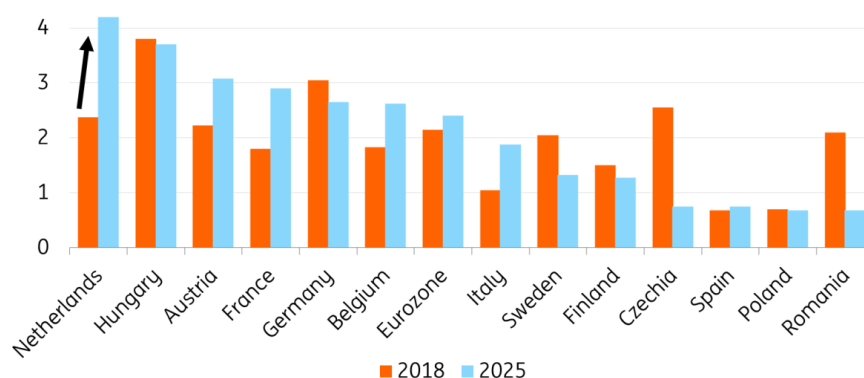
More people are working in healthcare in the EU than ever before, yet staff shortages continue to worsen. An ageing workforce is a major factor, compounded by heavy workloads that drive higher sickness absence and staff turnover.

The WHO expects the staffing gap to more than double over the next 15 years, exceeding 4 million workers by 2030. At the same time, demand for care is rising as populations age and chronic conditions become more prevalent, while expectations around quality continue to increase.

Against this backdrop, technology that can ease the pressure on healthcare providers is becoming an absolute necessity.

Healthcare staff are increasingly difficult to find in Western Europe

Average vacancy rate in the healthcare sector (number of vacancies per 100 jobs)



Source: Eurostat

Covid-19 accelerated the use of digital care

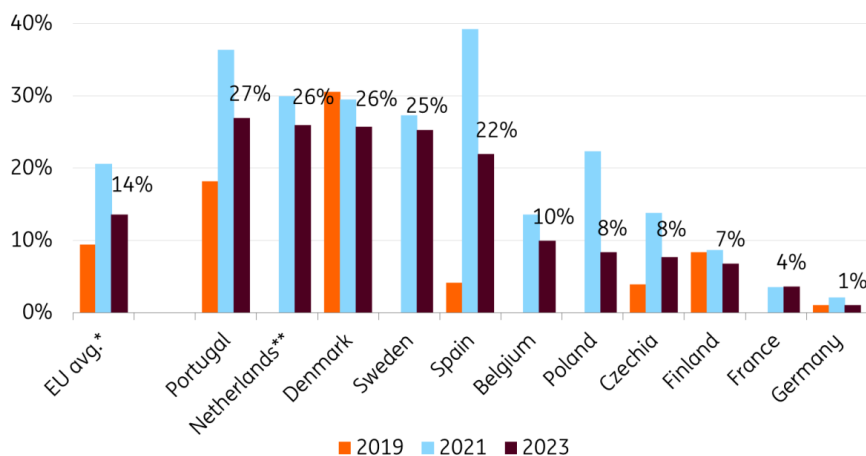
Digital technology makes healthcare less dependent on location, a shift that accelerated

during the Covid-19 pandemic. As waiting rooms emptied, doctors quickly switched to phone calls, video consultations and email. While teleconsultations have declined since then, they still accounted for an average of 14% of all consultations in 2023 – well above pre-pandemic levels.

That said, adoption varies widely across Europe: 22-27% of consultations are remote in countries such as Portugal, the Netherlands, Denmark, Sweden and Spain, compared with just 4% in Germany and 1% in France.

More teleconsultations than before the pandemic

Share of teleconsultations in the total number of medical consultations



Source: Eurostat

*Approximate EU average based on available country data; **Netherlands based on DHD, Nov. '25

Remote monitoring offers major benefits for patients and hospitals

Modern technology has made it possible to both consult patients remotely and to treat them outside the hospital. Through remote patient monitoring – also known as remote monitoring or remote patient management – hospitals can offer patients more comfort and convenience, while reducing stress, travel time and travel costs. This can be particularly valuable for people with limited mobility or patients who live far from a hospital.

Continuous monitoring by patients or community nurses enables doctors to make better-informed decisions and respond more quickly when conditions worsen. Involving patients more actively can also boost their engagement.

For hospitals, the key gains are reduced pressure on staff and more effective care. By limiting

visits to cases where measurements or symptoms warrant it, both consultations and admissions per patient fall. This allows remote patient monitoring to boost capacity and treat more patients. Meanwhile, the expanding stream of data offers a rich source for analytics and research, supporting better-targeted care.

Remote monitoring is gaining ground as technology improves

Remote monitoring is gaining ground thanks to improvements in measuring devices and internet connections, as well as growing acceptance of digital care solutions among patients and hospitals.

Healthcare providers use mobile devices and digital platforms to carry out medical tests manually or automatically, wherever the patient is. Depending on the treatment, patients use one or more devices at home to regularly measure specific health indicators and share them with their doctor or nurse through medical apps. This may include devices or wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation or lung function.

The benefits increasingly outweigh the negatives

Scientific research, international case studies and our interviews with experts show that the benefits of remote patient monitoring increasingly outweigh the potential drawbacks, such as limited digital skills or difficulties in taking and recording measurements independently. Another barrier is the investment needed in devices, platforms, maintenance, training and changes to workflows and treatment pathways, while reimbursement for hybrid care using remote monitoring remains unclear or insufficient in many European countries to cover start-up costs.

An increasing number of benefits are strongly supported by scientific evidence. Review studies [show](#) that remote patient monitoring can improve patient safety and treatment adherence. It also has positive effects on patient mobility and the ability to perform daily activities. For healthcare providers, remote monitoring lowers hospital admissions and shortens the average length of stay.

Case studies also show improvements in patient [satisfaction](#). A survey by the Dutch patients federation indicates that nine out of 10 Dutch patients are positive about it. An international study suggests that when patients in areas with limited healthcare provision can return home earlier thanks to remote monitoring, total healthcare and travel costs fall by around 27% on average.

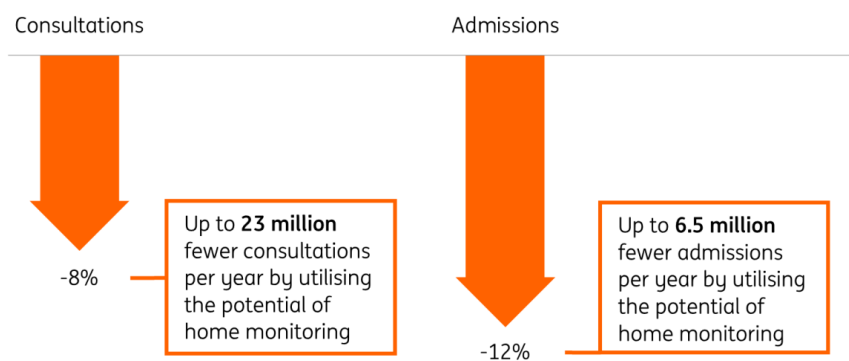
Millions of hospital visits could be avoided

Based partly on expert interviews, we estimate that roughly 50% of hospital care is suitable for hybrid care using some form of remote patient monitoring. This includes both long-term monitoring for chronic conditions such as COPD and diabetes, and short-term monitoring, for example after early discharge following a procedure.

We expect that around half of these patients would be able and willing to use it, meaning that about 25% of all hospital patients could be eligible for remote monitoring.

An analysis of 35 scientific studies shows that remote monitoring reduces hospital admissions by an average of 50% and consultations by 35%. If all eligible patients actually participate and new care pathways deliver similar average results, total hospital admissions could fall by more than 12% and consultations by more than 8% compared to a situation without remote monitoring. Across the EU, that would mean avoiding roughly 6.5 million admissions and 23 million consultations.

Substantial decrease in hospital visits upon utilisation of home monitoring potential



Source: ING Research

Remote monitoring can play an important role in prevention

To slow the growth in demand for care, prevention and effectiveness will need to play a bigger role in what hospitals provide. The focus is shifting from medical intervention itself to guiding people towards healthier lives. This means more accessible care facilities in local communities, closer cooperation with social organisations to address issues such as debt or addiction at an early stage, and giving patients a more active role through lifestyle interventions and by measuring and sharing health data

themselves as part of their treatment.

Health promotion and disease prevention, like digital transformation, are part of the [EU4Health](#) programme launched after the Covid pandemic, which makes more than €5bn available to strengthen public health and healthcare in Europe between 2021 and 2027.

The US is the pioneer and frontrunner

Remote patient monitoring is currently most widely used in wealthy countries with large, sparsely populated areas. The US is the frontrunner. Well before the pandemic, virtual consultations, remote intensive care and care and monitoring at home already played an important role at major US healthcare providers such as Cleveland Clinic, Mayo Clinic, Kaiser Permanente and Mount Sinai Hospital.

Growth accelerated when Medicare started reimbursing remote monitoring for chronically ill patients in 2019. In 2022, this reimbursement was extended to monitoring recovery treatment at home, such as tracking home exercise programmes for musculoskeletal conditions.

As a result, telemedicine is increasingly becoming the norm in the US for rehabilitation and post-operative monitoring. The Peterson Center on Healthcare notes that spending under traditional Medicare on monitoring chronically ill patients has risen [rapidly](#), from \$6.8m in 2019 to \$194.5m in 2023.

The UK and Scandinavia are furthest ahead in Europe

Remote patient monitoring is also gaining ground in Europe. By 2022, it was already being used in 39 of 51 European countries. Comparable data is limited, but the rollout has generally been slower than in the US and varies widely by country.

The UK was one of Europe's pioneers, with a large-scale and uniform approach. British virtual wards use remote monitoring, digital platforms and local medical teams to treat patients outside of hospital. This model was rolled out quickly during and after the Covid pandemic, supported by central funding. Since that specific national funding was discontinued, growth in the number of virtual wards and remotely monitored patients in the UK has stalled.

Scandinavia was also an early mover. The Danish government launched an action plan for the nationwide rollout of telemedicine as early as 2012. Since then, remote monitoring has become the standard care pathway for people with severe COPD, with expansion to other chronic conditions now underway. Finland, Norway and Sweden have also made significant progress in telemedicine and remote patient monitoring, especially in response to the pandemic.

Regional innovators can help accelerate scale-up

The Covid pandemic can be seen as an external shock that gave the adoption and scaling of remote patient monitoring a one-off boost, before momentum slowed again as conditions normalised.

But Europe still has ample room for regional innovators that can gradually inspire wider adoption. Charité in Berlin, the highly regarded and largest university medical centre in Europe, aims to conduct 50% of its consultations remotely by 2030.

NHS Greater Glasgow and Clyde is continuing to expand hospital-at-home care with advanced monitoring, treatment and multidisciplinary support at home.

Karolinska in Stockholm recently signed an eight-year contract with technology partners, including Philips, to provide remote monitoring and digitally connected care pathways for more than two million residents.

Although these initiatives remain fragmented, they can serve as examples and catalysts for further scale-up. The same applies to a large five-year European project launched in January 2026, which aims to improve the quality and scalability of remote monitoring.

Broad European scale-up is slow, and the four largest EU countries lag

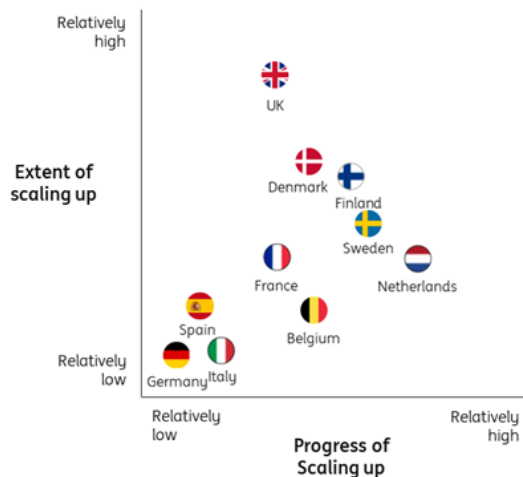
The four largest EU countries are not among the frontrunners. Germany has a strict separation in regulation and funding between hospital care and ambulatory care. Remote monitoring for heart failure is used on a limited scale, but for new areas of application it is still largely restricted to patients in care homes, while hospitals have to rely on funding from an [innovation fund](#).

In France, following the successful [ETAPES](#) experiment, telemonitoring for several conditions is fully reimbursed by the national health insurance system. However, actual patient participation still appears to be rising only slowly.

Italy is also behind, but in 2023 it launched a large-scale digital care renewal [programme](#) using funding from the EU recovery fund. A national telemedicine platform now supports and coordinates a regional network offering various digital services, including remote monitoring. Spain has regional initiatives, but no national programme for remote monitoring yet; adoption depends on the priorities of local health authorities.

Home monitoring most advanced in UK & Scandinavia, fastest-growing in the Netherlands

Schematic overview of home monitoring development by country



Source: ING Research

Less centralised direction and financial support slow adoption and scale-up

Differences in adoption and scale-up between countries partly reflect differences in regulation and reimbursement for remote monitoring. Another decisive factor is the way healthcare systems are organised. Countries with one strong central delivery organisation, such as the UK, have more capacity to scale innovations. The same applies to countries with one strong regional provider and only a few delivery regions, such as Denmark.

The rest of Scandinavia, and especially France, Spain and Italy, have more fragmented healthcare systems with multiple regions and therefore relatively many regional delivery organisations. Central direction is weaker, making rapid scale-up more challenging.

Other systems also have more national or regional competition, including the Benelux countries, Germany, Czechia, Slovakia, Austria and Switzerland. In these systems, scale-up is often slower than desired, especially when financial incentives are limited. A 'not invented here' attitude often plays a role. Different scale-up initiatives can still lead to wider adoption, but usually in a more fragmented and slower way.

The Middle East and Asia are also gaining ground

Remote monitoring and wider digital care are also gaining traction outside Europe and

North America. South Africa's largest Health Maintenance Organisation, which combines health insurance and care provision, recently partnered with Dutch and Swedish e-health companies to strengthen its care-at-home services.

Countries such as China and India are increasingly using large telemedicine platforms that integrate remote monitoring, AI-supported care and virtual consultations to serve remote areas better and improve care outcomes.

The Middle East is also building on opportunities that became clearer during the COVID-19 pandemic. Israel is a frontrunner in digital care: its integrated HMO model, broad coverage of electronic patient records, innovative hospitals and local medtech companies all support innovation. Sheba Medical Center, Israel's first virtual hospital, offers patients hospital admission, rehabilitation programmes, cardiac rehabilitation and telemonitoring at home.

Another advanced example is SEHA Virtual Hospital in Riyadh, Saudi Arabia, known as the world's largest digital hospital. It provides primary and secondary digital care for more than 224 hospitals and facilitates more than 16 million virtual appointments a year. It also offers remote monitoring at scale and improves preventive interventions by using AI to create a digital twin – a virtual replica of a person's health that can predict potential health problems.

Dutch medical service centres are supporting scale-up

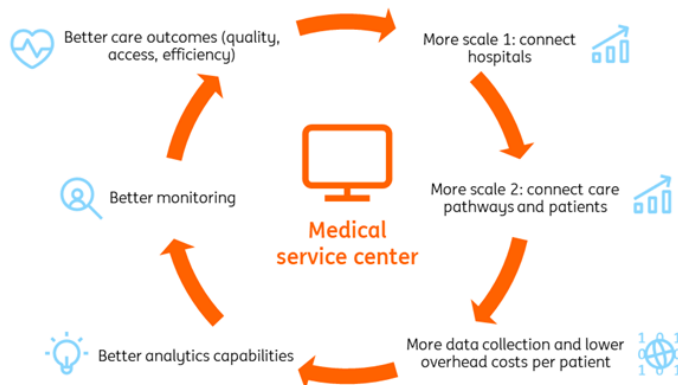
The Netherlands has made significant progress in remote patient monitoring in recent years, supported by five factors: broad experience built up over time, the scaling of national medical service centres, support from health insurers, relatively severe staff shortages, and more than €2bn in government funding for healthcare innovation linked to national implementation agreements.

This momentum has also accelerated the growth of nationwide medical service centres. These centres continuously monitor data and signals from patient apps used by affiliated healthcare providers and ensure patients can quickly be referred to the outpatient clinic of the relevant hospital when abnormalities occur.

'Zorg bij jou', a service centre set up by the eight top clinical Santeon hospitals, grew from virtually zero to 33,000 monitored patients in three years by the end of 2025. In 2026, it aims to grow further to 50,000 patients by connecting more hospitals and applying remote monitoring to more care pathways and to more patients within each pathway. This nationwide growth improves efficiency and quality, as fixed costs are spread across more participants and more monitoring data becomes available for research.

Success of medical service centre leads to accelerated scaling

Schematic scaling cycle for home monitoring via a shared medical service centre



Source: ING Research

A clear strategy and sufficient scale make expansion easier

Scaling remote monitoring within an organisation starts with a clear vision from hospital leadership. A clear plan for more hybrid care is needed to bring staff along. Sufficient financial strength and scale are also essential to carry the costs, make investments worthwhile and properly support staff. Given the relatively small size of many European hospitals, cooperation or mergers with other providers are often necessary.

Policymakers can accelerate scale-up through three levers

Labour shortages are not always enough to trigger timely action. Policymakers can accelerate scale-up through three routes: stronger central direction, supportive reimbursement and smooth data exchange.

1. Stronger central direction

Successful examples of rapid remote monitoring scale-up have one thing in common: some form of central direction. This does not necessarily have to come from a single national delivery organisation, as in the UK. It can also come through a national implementation agreement, with some large health insurers acting as drivers, as in the Netherlands. This can help enforce standardised guidelines for technology platforms and hybrid care pathways. The experience with British virtual wards points in the same direction. The Dutch medical service centre Zorg bij jou is therefore working on uniform hybrid care pathways and monitoring protocols to scale faster.

One way to strengthen central direction at the regional level is to allow more HMO-like structures, in which one organisation provides both insurance and care in a region. Such an organisation can steer care design and innovation scale-up more directly, especially when it

also has a financial incentive to do so. Healthcare systems with one delivery organisation per region can also use more directive steering to encourage or enforce scale-up.

2. Supportive reimbursement

Remote monitoring temporarily requires higher spending on IT adjustments and digital platforms, and possibly investment in monitoring or measurement equipment. Changing workflows and training or recruiting staff also requires additional funding. This is a high barrier, especially because profit margins at European hospitals are generally limited, particularly among non-profit and public institutions. Another brake is the risk of lower care revenue if remote monitoring is not reimbursed and fewer hospital visits are not compensated. This matters less under fixed contracts with insurers, and where waiting lists are long, because freed-up capacity can then be used quickly.

If policymakers, delivery organisations or health insurers really want to scale remote monitoring, they need to address these negative incentives in reimbursement. This still happens too little. Funding is limited and reimbursement is fragmented: providers each have their own budgets, sometimes under different healthcare laws. This hampers cooperation and can create perverse incentives. Reimbursement for remote monitoring also does not always cover all costs, especially in the start-up phase when costs per patient are relatively high.

3. Smooth data exchange

Fast exchange of patient data between IT systems, applications and healthcare providers supports the scaling of remote monitoring. Because patients often see multiple providers and use different devices and apps, cooperation between hospitals, GPs and, for example, elderly care providers is needed to coordinate care and monitoring properly. An up-to-date and complete view of a person's medical situation and medication use is crucial for making the right decisions and interpreting monitoring data correctly.

Clear national agreements are needed to make this work. Medical data should be recorded as uniformly as possible and made available through one national platform, or a few interoperable regional platforms, that provide a complete patient view. Belgium, Estonia and Denmark have the most advanced data infrastructure, but many other EU countries still lag. Ireland, and also the Netherlands, still have considerable ground to cover, as shown by OECD figures and a [study](#) commissioned by the European Commission. Under the phased implementation of the EHDS [regulation](#), EU citizens should have control over their digital health record by 2031 at the latest and be able to share it smoothly with healthcare providers both within and outside their own country.

Read the extended version of [the report in Dutch](#) here

Author

Edse Dantuma

Senior Sector Economist, Industry and Healthcare

edse.dantuma@ing.com

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Article | 18 June 2026

FX NORWAY

Prospect of August hike in Norway can help the krone

After today's hawkish hold, we expect Norges Bank to deliver a 25bp hike at the August meeting, in line with its preference to front-load tightening and amid still-elevated underlying inflation. This should lend some support to NOK, especially against other high-beta currencies, although external drivers are likely to stay dominant over the summer



We wouldn't expect policymakers to close the door to further tightening when hiking in August, so risks remain slightly on the upside for NOK front-end rates this summer

A hawkish hold today

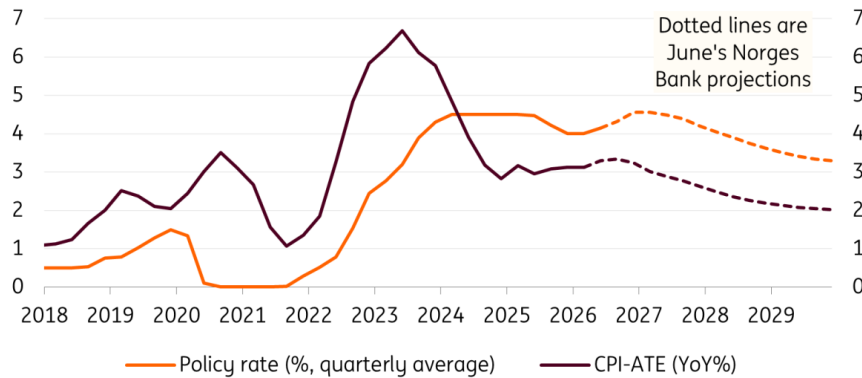
Norges Bank delivered no surprise today, holding rates at 4.25%. As we [expected](#), the communication was hawkish, with a clear signal that rates will likely need to rise again at one of the next few meetings.

Accordingly, the new rate projections show an average of 4.32% in this year's third quarter and 4.55% in the fourth. This fully prices in a 25bp hike in the third quarter, with roughly equal odds for August or September, and implies around a 20% probability of a further move between the final quarter of 2026 and the first quarter of 2027.

In our view, the key to the current policy stance in Norway is that inflation concerns predate

this spring's energy price volatility. We expect Norges Bank to remain mostly focused on bringing underlying inflation (CPI-ATE) sustainably back below 3.0% (currently 3.4%). In its latest projections, that is only achieved in the second quarter of 2027.

Norges Bank signals more tightening in new rate projections



Source: Norges Bank, ING

One last hike in August

Our call is for a 25bp hike in August. While CPI-ATE has been jumpy of late, it should stay above 3.0% in the next two months (June and July prints), and Norges Bank has shown a preference to front-load tightening.

At this stage, we see the August move as the end of the cycle. Norges Bank is likely to remain mindful of overtightening risk, while a period of softer energy prices should help reduce concerns about persistent inflation.

That said, risks remain skewed to the hawkish side, as there is a non-negligible chance that policymakers are underestimating second-round effects. Norges Bank also tends to be sensitive to interest rates abroad. Should the Federal Reserve or European Central Bank hike more than once this year, it would face both direct hawkish pressure and indirect pressure via potential krone depreciation, raising imported inflation concerns.

NOK can outpace other high-beta currencies

Market pricing roughly replicates Norges Bank's latest rate projections: 15bp for the August meeting, 27bp for September, and 30bp for December. As we wouldn't expect policymakers to close the door to further tightening when hiking in August, we think risks remain slightly on the upside for NOK front-end rates this summer. That is, assuming pricing for the Fed does not turn materially dovish, bringing other countries' rate expectations lower.

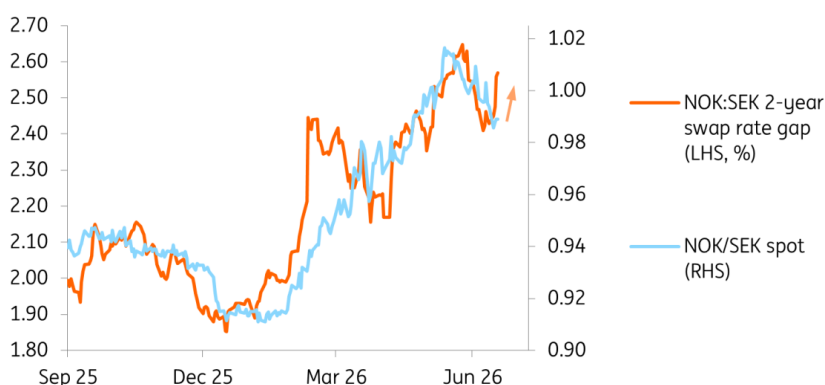
Norges Bank's hawkish stance is a positive factor for NOK. We expect it to be particularly visible

against currencies with similarly high beta to risk sentiment but more dovish central banks. We see good upside potential for NOK/SEK and downside potential for CAD/NOK.

In EUR/NOK and USD/NOK, external drivers should remain dominant. Our view is that oil prices are close to bottoming out, but the hawkish Fed poses a risk for less-liquid/high-beta currencies.

Still, we retain a downside bias on EUR/NOK, and expect a return below 11.00 this summer and further gradual decline towards 10.60 into early 2027 as fundamentals and carry should emerge as positive NOK drivers.

Policy differential points up for NOK/SEK



Source: ING, Refinitiv

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

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Article | 18 June 2026

FX HUNGARY

National Bank of Hungary preview: Gradualism versus a stronger start

A rate cut in Hungary next week looks to be a done deal. Given the downside surprise in inflation and the de-escalation in geopolitics, everything appears to be in line for a 50bp cut. Still, we think the decision-makers will opt for the safest option of regular-sized easing



A rate cut from the National Bank of Hungary on 23 June looks like a given, but whether it'll be a 25bp or 50bp move remains uncertain

Our call

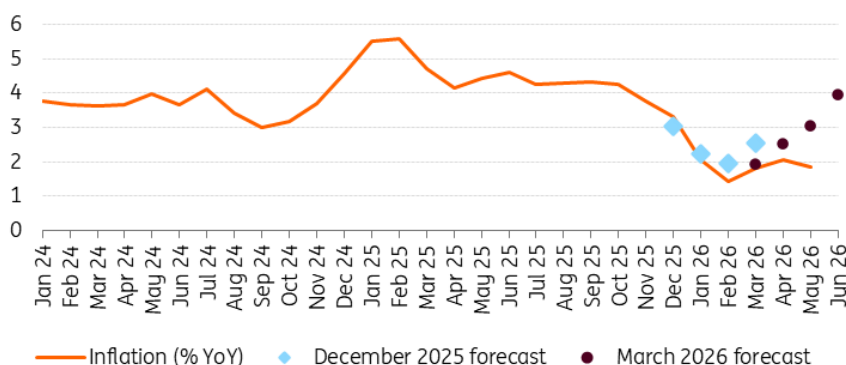
Compared to last month, the policy backdrop has turned clearly more dovish, giving the National Bank of Hungary (NBH) room to cut rates on 23 June. In light of last month's events, including the latest inflation data and communications from the central bank, we anticipate a 25bp reduction in the base rate, bringing it down to 6.00%.

We expect further rate cuts for the rest of the year, given the positive developments seen in recent months. Our current base case is a total of 75bp, but given the latest developments, we are leaning towards a total of 100bp easing overall.

Inflation outlook improves

The latest inflation data surprised significantly to the downside, likely prompting a substantial downward revision of the NBH's forecast from March. According to our calculations, inflation is likely to remain below 4% for the rest of the year, remaining within the central bank's tolerance band all year. In contrast, three months ago, staff projections expected an above-5% peak in inflation this year.

Inflation in Hungary versus the NBH's projections



Source: NBH, ING

The new staff projection

The central bank is also going to update its staff projections. This revision of inflation should reflect lower realised inflation, a stronger forint and improving external conditions (e.g., geopolitics, energy prices). In turn, we see the 3.8% inflation forecast for 2026 revised significantly downward in the vicinity of 2.5%, while next year's print can remain roughly unchanged (upward impacts from base effect, downward on improving general inflation pressures). We expect GDP forecasts of 2026-2027 (1.7% and 3.0%) to remain largely unchanged.

End of the war in Iran opens the door entirely

Improved geopolitical sentiment has reduced risks, with the forint at multi-year highs and yields falling sharply. On the latter, the risk premium on German Bunds has dropped to the lowest decimal of historical spreads. Unsurprisingly, the market pricing now points to significant easing, with around 150bp of cuts expected this year and roughly 50bp cut over the next month. Furthermore, yields on retail government bonds have been lowered by 100bp over the past two months.

Some reasons for caution

Stronger domestic demand, supported by fiscal stimulus, real wage growth and improved sentiment, could fuel inflation over the monetary policy horizon. The not-so-remote possibility of rising oil prices, coupled with the imminent lifting of the fuel price cap and a more hawkish Federal Reserve, could also raise some concerns among members of the Monetary Council.

Communication matters

We expect that an interest rate cut will be announced at next Tuesday's meeting. The question is how large the cut will be: 25bp or 50bp? As policymakers have not indicated a larger rate cut in their communication, we do not expect the NBH to surprise the markets without prior warning. Therefore, our base case scenario is a 25bp move. Consequently, the June decision is expected to favour gradualism over aggressive easing.

Argument for a bolder move

Given the improved inflation outlook and supportive market conditions, a 50bp cut could be justified without jeopardising stability. While a 25bp cut would likely cause the forint to strengthen further (since the market has already priced in more than that for next week's rate decision), a 50bp cut could limit the currency's appreciation. This could provide some relief for exporters, who have already complained about the pace of strengthening. It is in the economy's interest to maintain stability while ensuring lower interest rates. In a rapidly changing world, market environments can also shift quickly; if this opportunity is not seized now, it may be gone in the future.

In our view, if decision-makers realise that the opportunity exists and are willing to make the move, there will be advance communication, despite the imminence of the monetary policy decision. They could do so without losing credibility, given that the recent geopolitical de-escalation has serious implications for monetary policy.

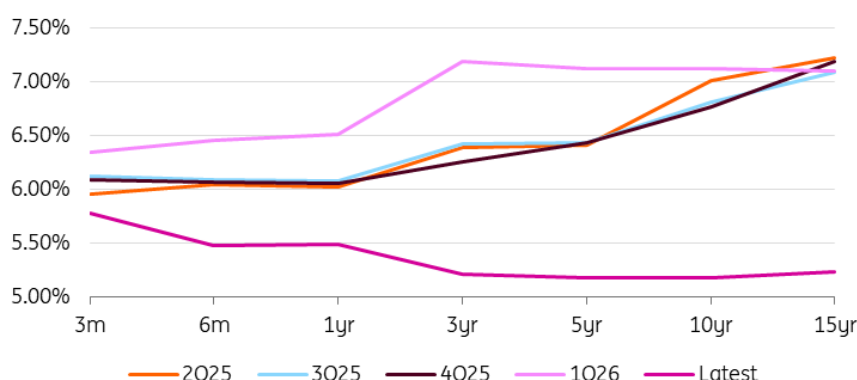
Our market views

The Hungarian forint has appreciated by around 6.2% versus the euro since the general election in April and recently hit 350 EUR/HUF, our mid-year target. The real effective exchange rate is reaching new highs and almost matches the historical highs from 2008. On the other hand, the forint still looks cheap in real terms compared to regional peers, suggesting that there may be room for further appreciation, which could be a problem for the economy sooner or later.

The combination of both the lowest inflation rate and the only central bank with inflation

below target in the region, the market is pricing in an aggressive rate cut cycle of around 125bp for this year and a landing zone for the NBH somewhere around 4.75% next year. This does not seem stretched compared to 2024 pricing, and we expect the market to price in even more rate cuts from current levels once the central bank starts its cutting cycle. Given that long positioning is concentrated mainly at the long end of the curve, we expect further bull steepening in the short-term.

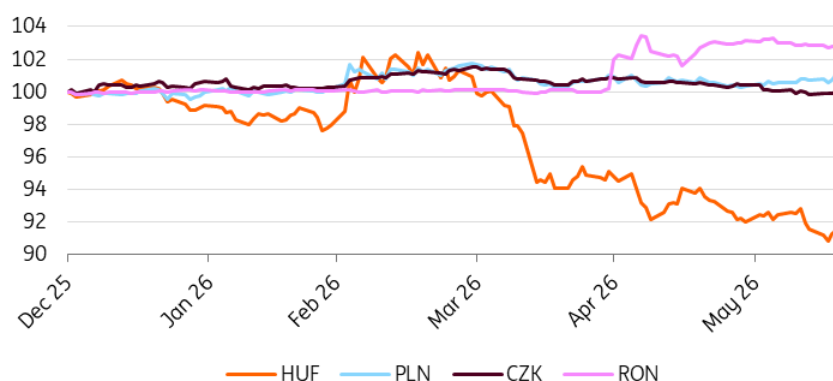
Hungarian yield curve



Source: GDMA, ING

The implications for FX are not clear at this point. The typical reaction would be for the forint to weaken as soon as the central bank starts cutting rates. In this case, however, FX is driven by positive sentiment as well as the high demand for HUF assets triggered following the April general elections. Rate cuts do not necessarily mean FX weakening, especially in a situation where the market is already on the dovish side of pricing.

CEE FX performance vs EUR (end-2025 = 100%)



Source: NBH, ING

On the other hand, the outlook for FX carry here is deteriorating significantly, and that may

reduce the forint's attractiveness. However, this should ultimately stabilise EUR/HUF rather than push it higher, and we should see compression in vol. Therefore, as a baseline, we expect that any upward correction in EUR/HUF could potentially attract new interest at higher levels. A stronger US dollar and NBH rate cuts may get us somewhere around 355 in the short term, where some resistance could emerge.

Author

Peter Virovacz

Chief Economist, Hungary
peter.virovacz@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Zoltán Homolya

Economic research trainee
zoltan.homolya@ing.com

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Article | 18 June 2026

FX

FX Daily: Dollar enjoys Fed's hawkish adjustment

The dollar is largely holding the gains it made on last night's hawkish turn by the Fed. It could strengthen a little further on any upside surprises in US activity or inflation data, but this is not 2022, and any Fed tightening will be an adjustment, not a tightening cycle. Look out for policy rate meetings in Europe, where the Czech National Bank should hike



Dollar holds gains after Fed's hawkish turn, but upside should be modest

➔ USD: Fed story can underpin dollar this summer

Kevin Warsh's debut as Fed Chair delivered a 10bp bearish flattening of the curve and a stronger dollar. As we discuss in our [review of the FOMC meeting](#), the big commitment to price stability and the hawkish swing in the Dot Plots were the key drivers of the move. Whether that hawkish stance gets softened by the findings of the five new Fed task forces remains to be seen. But presumably any results will take quite some time to emerge.

With nine of the 18 Fed members seeing at least one hike this year, the Fed looks prepped to move should inflation continue to drift in the wrong direction. Without any forward guidance in the curtailed FOMC statement or in Warsh's press conference, it will therefore be interesting

to see whether Fed members are allowed to say anything about the future policy path in their speeches. These will start next week. Our house view is that inflation could turn a little lower later this year and the Fed can avoid tightening.

The dollar is holding gains, but probably does not need to rally too much more. The market now has 44bp of Fed tightening priced in by the second quarter of next year, which looks close to the type of modest adjustment most Fed members pitched in their Dot Plot projections. And with rate cuts still envisaged for 2027 and 2028, this Fed profile is supportive of the tone we took in this month's FX Talking: [Dollar Decline Delayed](#) (not abandoned). After all, this is not 2022, and the Fed is not about to launch another 500bp tightening cycle.

The US focus today will be on the weekly jobless claims, the Philadelphia business outlook and later tonight the April TIC data – the TIC data is so far showing no signs of a foreign exodus from US asset markets. DXY tested the top of its 12-month range at 100.50/60 yesterday. And while the dollar may stay bid, we do not see a catalyst for a major upside breakout. This is especially so given lower energy prices on the US-Iran deal being signed and a supportive risk environment.

Chris Turner

➔ **EUR: Steady amid rate meetings in Europe**

EUR/USD had a strong test of 1.1500 on the hawkish FOMC last night, but there might not be too much appetite to take it substantially lower just now. The ball is now back in the ECB's court and whether it chooses to hike in the July or September meetings – or not hike rates at all. At this stage, and given the house view that the Fed is not going to hike, 1.14/1.15 can remain the lower end of the range this summer. On the data front today, we will see the ECB's current account data for April. This could continue to narrow in the higher energy bill seen at the time.

Elsewhere, we have rate meetings in Switzerland and Norway in early Europe. We see the Swiss National Bank on a [prolonged pause](#). There could be some slight upside risk to EUR/CHF today not only from a neutral SNB, but also from higher global rates in general after last night's Fed and some potentially better news out of the Middle East. EUR/CHF can head back to the 09250 area.

Chris Turner

In Norway, we expect a Norges Bank hold today, in line with consensus. This after the collapse in oil prices and some implicit hints at a pause in May. At the same time, we think markets may be underestimating the chances of a surprise hike today (only 4bp priced in).

Underlying CPI accelerated to 3.4% in May, and Norges Bank's inflation concerns have been broader and predate the war. So if it holds as we expect, there are good chances it'll strike a

hawkish tone, keeping the door wide open to another hike in the coming months. Market pricing is 22bp by September, and may shift to expect a hike in August. We therefore see some upside risks for NOK.

Francesco Pesole

↓ **GBP: BoE will try to ride out the inflation spike**

The highlight of today's session is the Bank of England meeting at 1300CET. This comes after this morning's release of private sector wage growth at 2.9% three-months/year-on-year – the first 3% number since 2020. Combined with generally soft employment figures, today's data provides fuel to the views from the BoE doves that the risks of second-round inflation effects are low.

Please see our full BoE preview [here](#). Our call is for a 7-2 vote for unchanged policy (slight risk of 6-3), but presumably the need to sound hawkish to ride out this inflation shock. Our bottom line, however, is that inflation is going to peak around the 3.5% area later this year and the BoE will avoid tightening.

Expect more pressure on GBP/USD as the dollar enjoys a run against those currencies whose central banks are trying to avoid tightening this year – such as in Canada and Sweden. GBP/USD could drift to the 1.3200 area over the coming weeks.

There is also the small matter of the Makerfield by-election. Assuming Andy Burnham wins, the focus will quickly switch to whether PM Starmer quietly plans his succession or fights on. Neither of which looks good for sterling. EUR/GBP looks biased to 0.8680/8700.

Chris Turner

↑ **CZK: Insurance rate hike supports further koruna gains**

The Czech National Bank is likely to raise rates by 25bp to 3.75% today, the first time since mid-2021. Although headline inflation surprised down to 2.1% in May, core inflation rose to 2.9%. At the same time, 1Q26 wages surprised to the upside, although much of it follows downward revisions in previous quarters. The reasons for the hike are therefore more local than directly related to the US-Iran conflict. However, the central bank probably sees risks to the upside and wants to hike rates pre-emptively for safety. We expect such communication from the governor today without a commitment to another hike but with an open space for further increases if necessary.

Our economists' baseline remains one hike, but the bar for another hike is relatively low given the core inflation of 2.9% in May. If we were to see core inflation going above 3.2% in the coming months and, at the same time the ECB continuing with rate hikes, where one more hike is our baseline, this could create grounds for another CNB hike later.

Given the end of the US-Iran conflict and the decline in oil prices, the market has priced out a large portion of the rate hikes and has stabilised pricing around 2x25bp, including today's session, which seems almost fully priced in. If the CNB delivers a rate hike coupled with hawkish communication, which is our baseline, we see one additional hike as a floor for what the market can price in and we see upside for rates here.

EUR/CZK is grinding lower from mid-May and goes into today's meeting from levels slightly below 24.150. Due to the CNB's hawkishness, we remain bullish on the koruna and see a case for testing 24.000 if the CNB delivers a hike and maintains a hawkish bias.

Frantisek Taborsky

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist
francesco.pesole@ing.com

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Article | 12 June 2026

COMMODITIES, FOOD & AGRI

What's next for US copper import tariffs

The US tariff decision on copper imports is weeks away, with the Commerce Secretary due to deliver a recommendation to President Donald Trump by 30 June. The market has already begun pricing the outcome. The COMEX-LME spread has widened to around \$400/t, suggesting the market continues to price meaningful tariff risk into US-delivered refined copper



Supply tightness, US tariff-driven stockpiling and AI-linked power demand are supporting copper prices

Where we are now

LME copper is trading near record highs, with prices up around 10% year-to-date and holding up well against a difficult macro backdrop. Strong US jobs data has reinforced expectations that the Federal Reserve will keep policy restrictive for longer, while renewed tensions involving Iran have weighed on broader risk sentiment.

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are keeping copper more resilient than the broader complex, with the tariff decision now only weeks away.

What the tariff decision looks like

When President Trump announced a 50% tariff on copper in July 2025, refined copper was carved out. That exemption is now under review. The Commerce Secretary has until 30 June to

deliver an updated recommendation to Trump on whether and how to extend tariffs to refined copper. The original Commerce Department proposal called for a 15% tariff on refined copper imports effective January 2027, escalating to 30% in 2028.

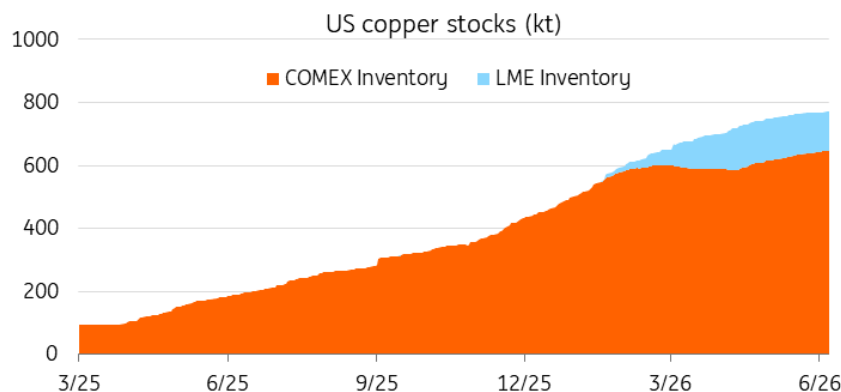
Earlier this month, Trump signed a proclamation adjusting the broader metals tariff framework – maintaining the 50% tariff on semi-finished copper products, lowering the domestic content threshold from 95% to 85% to qualify for preferential treatment, and broadening the scope to include additional semi-fabricated products such as electrical conductors and cables. New rates took effect 8 June. These changes are widely seen as preparatory steps ahead of the refined copper review, making it easier for importers to qualify for preferential treatment tied to domestically produced metal.

How the market has already repositioned

Since February, US copper imports have spiked in anticipation of the tariff deadline, encouraging additional shipments into the US and tightening supply in other regions.

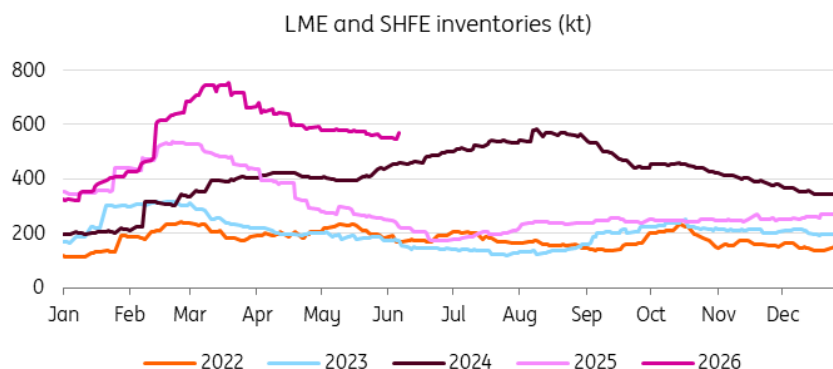
COMEX-registered inventories have risen to record highs. That build has come directly at the expense of LME and SHFE stocks, which have declined sharply over the same period.

COMEX stocks hit records, LME inventories also trend higher



Source: COMEX, LME, ING Research

Meanwhile ex-US inventories have declined sharply

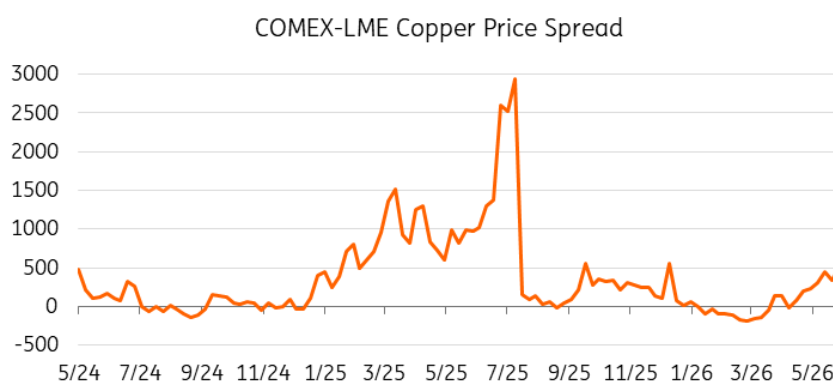


Source: LME, SHFE, ING Research

This is not a demand-driven inventory build. It reflects a geographic redistribution of available metal driven by tariff arbitrage. A significant volume of copper cathode is now economically 'locked' into the US market. While some of this metal could eventually be released if tariff expectations fade, the prospect of further trade policy measures means inventories are increasingly being held as strategic rather than 'arbitrageable'.

The COMEX-LME spread began re-widening from early 2026 as the 30 June deadline came into focus. It turned positive again in late March and has been climbing since, reaching around \$400/t in early June. At current levels, the spread is well below the peak of around \$2,937/t seen in late July 2025 when a 50% tariff on all copper was briefly feared. This suggests the market views a 15% phased tariff as a much more contained outcome.

COMEX-LME copper spread rewidens



Source: COMEX, LME, ING Research

What happens after the announcement

A confirmed 15% phased tariff from 1 January 2027 would likely increase the premium of COMEX over LME copper. In practice, both benchmarks would move higher. COMEX would be supported by stronger US import demand, while LME would also benefit as metal diverted away from the US tightens supply availability elsewhere.

The overall impact would be supportive for copper prices globally, although the larger move would likely occur in COMEX.

If the proposed increase to 30% in 2028 is brought forward or confirmed as a near-term policy objective, the premium could expand further.

A delay represents the clearest near-term downside risk for the spread, although the impact would likely be more limited than an outright rejection of tariffs. The arb would compress and the pace of inflows into COMEX would slow – but material already stockpiled in the US is unlikely to leave the market quickly. As long as tariff risks remain, a significant portion of those stocks is likely to remain effectively locked within the US market. The spread would narrow, but would probably settle at a structurally wider level than pre-2025 norms rather than collapsing back to parity.

An outright rejection of tariffs remains the most bearish case. US import demand would drop sharply, and with the stockpiling incentive removed, both benchmarks would likely come under pressure. US-held metal could then potentially re-enter the global market or at least stop being 'locked' in the US.

Supply outlook remains tight

We forecast the global copper market to move into a deficit of around 35kt in 2026, reflecting mine supply losses across Indonesia, Chile, the DRC and Zambia, alongside disruptions to Middle Eastern sulphur flows and sustained end-use demand in electrification and grid infrastructure. The tariff outcome does not change that underlying market balance.

However, it will determine how quickly the deficit becomes visible in exchange inventory data and how the price gap between COMEX and LME evolves.

We see LME copper broadly supported at current levels through 2Q, before easing modestly into 3Q and 4Q as the initial tariff stockpiling impulse fades and macro headwinds persist. The tariff announcement itself represents near-term upside risk to our near-term forecast. A front-loaded 30% tariff would put further upside in play. Conversely, a delay or outright rejection of tariffs represents the clearest downside risk to our view over the second half of the year.

The 30 June deadline and the COMEX-LME spread are the two indicators to watch most closely over the coming weeks.

Author

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

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Article | 11 June 2026

REAL ESTATE BELGIUM

Airbnb only part of Belgium's housing affordability problem

Short term rentals via platforms such as Airbnb reduce available housing supply in Belgium, adding pressure to an already tight housing market – but this is only part of the story



Structural bottlenecks lie at the heart of housing affordability challenges in Belgium

Short-term rentals: a small but meaningful share of housing supply

Online booking platforms have surged in popularity among both travellers and hosts in recent years.

In 2024, around 1.23 million stays were booked via these platforms in Belgium, accounting for 12.3 million overnight stays. In 2025, the 10 million overnight stay threshold had already been surpassed in the first three quarters of the year.

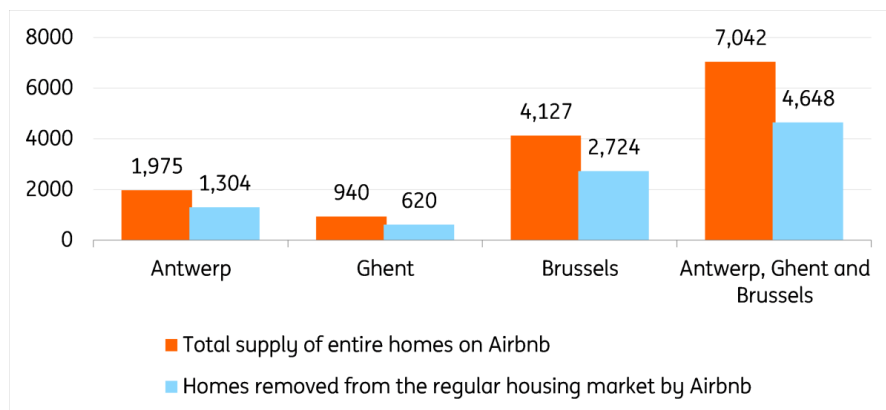
While this strong growth highlights the increasing importance of short-term rentals, it also has implications for the housing market, particularly in high-demand urban and tourist areas. At the same time, structurally higher interest rates and rising house prices have reduced housing affordability. The homeownership rate declined from 72.4% in 2022 to 70.9% in 2025, accompanied by a growing number of renters, further increasing pressure on rental markets.

Against this backdrop, we estimate the impact of short-term rentals via sites like Airbnb in regions where data on entire homes is available, namely the Brussels-Capital Region, Antwerp and Ghent. These areas are characterised by persistently tight housing markets and rank among the most expensive rental markets in Belgium.

Our estimates suggest that Airbnb removes around 3,000 homes from the regular housing supply in Brussels alone, with a further nearly 2,000 homes in Antwerp and Ghent combined. In total, this corresponds to roughly 0.8% of the rental housing stock being unavailable for permanent occupancy due to short-term rentals. This share is likely higher when accounting for other platforms such as Booking.com and Expedia.

While this confirms that short-term rentals contribute to housing market pressures, they remain only one part of the story and are not the main driver of housing affordability challenges in Belgium.

Airbnb is estimated to have removed nearly 5,000 homes from the regular housing market



Source: Inside Airbnb, BISA, own calculations ING

Structural bottlenecks lie at the heart of housing affordability challenges

While a legislative framework to regulate short-term rentals has been in place for some time in Belgium, its impact has been limited due to low compliance. The new European regulation that entered into force in May aims to address this by requiring platforms to share data. A key next step is the creation of a national registration system, which could bring an estimated 1,800 out of 4,650 homes back to the regular housing market.

However, this alone will not be sufficient to ease pressures on the Belgian rental market. Structural bottlenecks remain the main constraint:

- **Low construction activity:** Despite a slight uptick in early 2026, building permits remain at historically low levels.
- **Mismatch between supply and demand:** New construction is increasingly misaligned with demand. Apartment permits are declining (−8% YoY) despite rising demand for smaller units, while permits for single-family homes are increasing (+17% YoY), potentially widening the mismatch.
- **Rising construction and financing costs:** Higher energy prices, more expensive building materials, and elevated long-term interest rates are increasing costs for both developers and buyers, weighing on new construction. At the same time, construction sector bankruptcies rose again in early 2026 (+3.3% YoY), further slowing supply.
- **Regulatory framework and supply effects:** Housing regulation has tightened significantly in recent years. While stricter rules pursue legitimate objectives, they may have unintended consequences. Evidence shows that measures such as rent caps can reduce rental supply, dampen construction, and lower market turnover.

Addressing short-term rentals can therefore help alleviate part of the pressure, but its impact on overall housing affordability will remain limited. Improving affordability requires tackling these structural constraints. This involves, above all, ensuring that housing supply better reflects changing demand, including by encouraging the development of smaller units.

At the same time, a stable investment climate is needed to support construction and renovation, while new regulations on housing quality and energy performance should be designed to avoid further constraining supply.

Author

Alissa Lefebvre

Economist

alissa.lefebvre@ing.com

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